China Industrials

15 Apr 2026 11:32:12 ET

CITI'S TAKE

We revisit our stock strategy for 2026E after 2025 results, including many A-share results this month with updated 2026 guidance. In total, 42 A-/H-share companies have reported 2025 results so far: vs. consensus 55% missed, 19% were in-line and 26% beat. We attribute 2H25 result misses more to weaker domestic demand; export growth remained solid. Despite global market volatility amid an oil price surge, the funds raised from private M&A for AI-infra and embodied AI have surged to 17.6% of the total in 1Q26 vs. 9.4% in 1Q25. This reflects more LT money, which enhances our barbell strategy for 2026 stock picks in the following preference order – i.e., two high-beta themes tagging high EPS growth: AI-infra (**KB Laminate**), Embodied AI chain (**Hengli Hydraulic**) and two low-beta themes tagging high div yld: China exports (**Techtronic**) and China infra (**Zoomlion H-share**). Our Top-Sells include **Chervon, CRRC, Topband, Heli, Oppein, Dingli, Estun.**

More investment flows into AI-infra and embodied AI yoy in 1Q26: Per S&P Global, the % of global private M&A investment into AI-infra and embodied AI vs. the total almost doubled to 17.6% in 1Q26 (i.e., total funds raised were US$211bn, excluding mega Space X & Stargate deals) vs. 9.4% in 1Q25 (US$108bn). See **Fig 4**. The private M&A market reflects more LT money allocation (including many pre-IPO deals), disregarding the current ST uncertainty from the recent surge in brent oil prices and the VIX index. It underpins our preference for two high-beta themes.

Stock strategy: What has changed in 2026E? We are more upbeat on corporate earnings growth in AI-infra, particularly due to a sustained shortage of glass fabric and copper foil and more demand for PCB drilling equipment. KBL has raised the ASP of e-glass fabric by 40-58% YTD, reflecting shortages, which could lift the consensus view. Han's CNC has said that the % of AI contribution to total sales will double to 60% (prior 50%) in 2026 from 30% in 2025 thanks to PCB capacity buildout. This would boost GM. We thus change our stock preference to **KB Laminate > Han's Laser > Shengyi** from Shengyi > KBL > Han's Laser given KBL and HL (owns Han's CNC) are lower in P/E terms and are forecast to notch faster EPS growth vs Shengyi. See **Fig 26-27**. We also change our stock preference to **Hengli > UBTech > LD** from Hengli > LD > UBTech as UBTech guides up robot shipments to 5k units this year from 2k-3k.

Rating / TP changes after 2025 results: The greatest degree of TP upgrades has been in AI-infra companies **KBL**, **Han's Laser, and Han's CNC**, largely due to a more-than-expected influx of AI capex, and **UBTech** on stronger demand for new robot model Walker S series (world's first humanoid robot for autonomous battery swapping). In contrast, we have downgraded **CRRC** **to Sell** on dimmer rail equipment capex, **Nine Dragons** **to Neutral** on margin contraction concerns. See **Fig 63-65** for details.

Contents

Top Buys / Sells 3

Private M&A fund flows skewing towards AI-infra and Embodied AI 6

China Industrial Outlook 2026 9

Initial signs of improving trends 9

1) Improving FAI trend 9

2) China MFG inventory will likely be restocking 9

3) China export maintains strong growth momentum 10

4) Japan machine orders to China imply acceleration in early 2026 11

Update on Industrial Verticals for 2026 After 2025 Results 14

Barbell Strategy with Company Update 21

AI-infra outlook (KB Laminates > Han's Laser > Shengyi Tech) 21

Embodied AI Chain (Hengli > UBTech > LD) 26

China Exports (Techtronic > Shenzhou > Stella) 31

China Infra (Zoomlion > Hangcha > CSCI) 34

Biggest Rating, TP Changes After 2025 Results 40

Appendix 1: Common Commodity Price Trend for Industrial Sector 44

Appendix 2: Building Material and Property related Growth Rates 45

Appendix 3: Autos 45

Appendix 4: Infra/Construction Machinery and Freight Rates 46

Appendix 5: Macro Datapoints 47

Appendix 6: Market Liquidity 48

Appendix A-1 52

订阅研报添加微信 LCD123321Cad 04-16

订阅研报添加微信 LCD123321Cad 04-16

订阅研报添加微信 LCD123321Cad 04-16

Top Buys / Sells

Figure 1. Top Buys on high-beta basket: AI Infra and Embodied AI

Ticker	Company	Analyst	Reasons for Buy
AI INFRASTRUCTURE			
1888.HK	Kingboard Laminates Holdings	*Eric Lau*	AI-Fabric Upside: Severe shortage of AI glass fabric (low Dk, Q-glass) with 6k tonnes yarn by end-2026 from 500t in 2025; capex to >HK$3bn in 2026E for AI copper foil and e-glass fabric expansion Earnings Beat: 2025 GM 19.6%; e-glass fabric profit >HK$600m (+70% YoY, ~19% of PBT); special DPS → 87% payout; 3-yr EPS CAGR 46% Pricing Power: 10% ASP hike with immediate effect (10 Mar); 6 price hikes in 2025 on tight AI-CCL supply chain. TP: HK$30 (~25-26x 2026E PE)
002008.SZ	Han's Laser Technology	*Jamie Wang*	Cheaper AI PCB Play: Less expensive exposure to AI PCB equipment theme vs Han's CNC direct; Apple equipment business as second growth engine. TP: Rmb99.0 (49x 2026E PE) HC Earnings Surge: HC 2025 NP +174% YoY; 4Q25 GPM spiked to 42.2% (+13.8pp YoY) on AI PCB equipment exposure rising to >40%; AI PCB to reach ~50% of HC rev in 2026 Industry Read-Across: Taiwan peer Ta Liang's rev +147% YoY in Mar-26 / +131% in 1Q26; HC penetrating Taiwanese AI PCB makers (WUS, Unimicron, GCE, Avary)
600183.SS	Shengyi Technology	*Eric Lau*	2025 Results: Rev/NP surged 39%/92% YoY; 4Q25 NP +142% YoY on AI-CCL mix shift; AI-CCL GM 40%+ vs blended 27% NVDA + ASIC: Supplying CCL for GB300 M8 PCB; Rubin M9 samples delivered; ASIC projects for AWS, Google, META to bear fruit in 2026 Capacity +20%: ~9.6m sheets/mth by end-2026 via Jiangxi plant and Suzhou upgrade; orders >10m vs capacity ~8.5m → mix upgrade. TP: Rmb83 (44x 2026E PE)
EMBODIED AI CHAIN			
601100.SS	Hengli Hydraulic	*Jamie Wang*	Strong 1Q26E: 35%/30% YoY rev/earnings growth; excavator cylinder production ~80k in Mar (+40% YoY) on wallet share gains in large excavators 2026 Guidance: Mgmt expects 20-30% YoY revenue growth; Mexico + ball screw plants to break even (from ~Rmb150mn loss in 2025) Humanoid Robot: Small batch supplied to leading US humanoid robot maker; production ramp Jul/Aug 2026; expanding into BCI, aerospace, vehicle suspension. TP: Rmb135 (44x 2026E PE)
9880.HK	UBTECH Robotics	*Jamie Wang*	2025 All-Around Beat: Net loss -37% YoY to Rmb655mn; GPM 37.7% (+9.0pp YoY); humanoid robot GPM 54.6%; 1,079 units / Rmb820mn rev (+22x YoY) 2026 Guide Up: Humanoid shipment raised to 5,000 Walker S + 5,000 educational/commercial units; target GPM 43-45%; Walker S3 debut 2Q26 AI Build-Up: Data collection target >1.0mn hours in 2026 (from 300k in 2025); R&D to ~Rmb700mn for VLA model. TP: HK$190 (20x 2026E P/S)
688017.SS	Leader Drive	*Jamie Wang*	2025 Prelim: NP +105-132% YoY to Rmb115-130mn; driven by industrial robot recovery and humanoid robot contribution; ~50% earnings growth in 2026E US JV with Minth: Humanoid robot joint assembly in US; capacity ~100k units p.a. by Jul/Aug 2026 – removes supply chain penetration concern Humanoid Pure Play: 40-50% of 2026E revenue from humanoid robot; harmonic drive capacity expanding from 50k to 80k/mth. TP: Rmb233

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research

Figure 2. Top Buys on low-beta basket: China Export and China Infra

Ticker	Company	Analyst	Reasons for Buy
EXPORT			
669.HK	Techtronic	*Eric Lau*	Revenue Acceleration: MHD growth in 2026E from ~4% in 2025; MWK LDD growth over next 3 years; completely shifting China production for US segment to VN/US/Mexico from 2026E Product Niche: MX series (electrification of handheld construction equipment) has no comparable products in Japan; selective growth market opportunity Valuation Overdone: Stock -20% on US/EU consumption concerns amid oil price surge; reiterate Buy. TP: HK$150 (~20x 2027E PE); 3-yr EPS CAGR 18%
2313.HK	Shenzhou International	*Eric Lau*	Value Floor: 10-11x PE + ~5.6% div yield at historical trough; stock -21% YTD looks overdone; Chairman raised stake on 1 Apr (first time this year) Order Mix: MSD order growth in 2026; Adidas and Uniqlo strongest; new Adidas football jerseys + yoga brand (2H26); Anta/Li Ning DD growth on low base Capacity Expansion: Indonesia plant commencing mid-2027 (~20% of output in 5 yrs); VN fabric mill ph2 opening May 2026. TP: HK$75 (~16x 2026E PE)
1836.HK	Stella International	*Alice Cai*	Dividend Support: ~10% div yield (70% payout + $60m excess cash return); capex peaks FY26 then drops to maintenance → multi-year FCF harvest FY26 Trough: MSD NP growth; inflection deferred to FY27-28 as new factories reach efficiency; mgmt guides HSD NP CAGR over 3 years Upside Optionality: Base case assumes no improvement in largest client's "China for China" shift; any tariff rollback is pure upside. TP: HK$15 (~10.5x FY27E PE)
CHINA INFRASTRUCTURE			
1157.HK	Zoomlion Heavy Industry	*Jamie Wang*	Earnings Inflection: 2025 NP +38% YoY; OCF +128% YoY on receivable recovery and inventory reduction; 24% earnings growth in 2026E Mid-to-Late Cycle: Constructive on crane and concrete machinery; earthmoving/mining global expansion; AWP overseas to resume growth with Hungary plant from Jun 2026 Dividend + Policy: DPS raised 25% YoY (5.2% yield); "No. 1 Document" agricultural tailwind; diversified FX (Rmb6mn loss vs Sany's Rmb580mn). TP: HK$10.80 (1.4x 2026E P/B)
603298.SS	Hangcha Group	*Eric Lau*	U/G to Buy: 9M25 rev/NP +8.7%/+11.2% YoY; 3Q25 growth accelerating vs 1H25 on share wins despite US tariff escalation Domestic Recovery: CAAM domestic forklift volume accelerated to HSD in 1H25 (476k units); e-commerce logistics driving demand Guozi Robotics: Acquired 99.23% stake; adds AGV/intelligent warehousing for cross-sell; 3Q25 GM +1.4pp to 26.5%. TP: Rmb38 (19x 2026E PE)
3311.HK	China State Construction International	*Eric Lau*	Div Yield >7%: Focus on cashflow improvement and raising payout; stock -14% MTD on US-Iran macro → attractive entry for income HK Northern Metropolis: Cumulative order >HK$100bn; order book from HK to rise in 2026; key proxy for upcoming HK infra boom MIC Growth: Hailong MIC >Rmb4bn orders in 2025 with DD growth in 2026; potential spin-off IPO during 15th FYP. TP: HK$12 (~6x 2026E PE)

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research

订阅研报添加微信 LCD123321Cad 04-16

Figure 3. Top Sell list for 2026E due to growing earnings downside risk after 2025 results and 2026 guidance

Ticker	Company	Analyst	Reasons for Sell
2285.HK	Chervon	*Eric Lau*	2025 Results Miss: Core NP -42% YoY to US$78.5mn, missing CitiE/cons by 22%/28%; 2H25 rev -25% YoY vs TTI +1.6% Share Loss: Power tools (FLEX/SKIL) rev -18% YoY; sales to Lowe's -18.8% YoY (exposure 39.1%→34.6%) — losing share at largest customer 2026 Downside Bias: Model MSD rev growth but risk from continued share loss post-tariff price inflation. TP: HK$17.5 (11x 2026E PE); prefer TTI > Great Star
1766.HK	CRRC Corp	*Jamie Wang*	D/G to Sell: 2025 NP missed CitiE/cons by 8%/11%; 4Q25 NP -37% YoY to 5-yr low on weaker MU delivery and higher asset impairment Conservative Guidance: MU tenders in 15th FYP to be ~200 sets p.a. (vs 278 in 2025); CSRG turning conservative on rail passenger traffic slowdown Mgmt Reshuffle: New President Mar-26; historical pattern of earnings decline post-reshuffle; 2026/27E cut 13%/15%. TP: HK$4.5 (8.5x 2026E PE)
002139.SZ	Topband	*Eric Lau*	4Q25 First Loss: 2025 NP -41.9% YoY; 4Q25 net loss Rmb56.6mn — first quarterly loss in recent years; no near-term turnaround visible Losing Share at TTI: Sales to Techtronic (26% of total) fell 2% YoY vs TTI rev +4.4%; 2026-27E earnings cut 39-46% Rich Valuation: 36x 2026E PE vs 3-yr EPS CAGR 16% (PEG >2.2x); ESS downcycle + 65% overseas exposure under geopolitical risk. TP: Rmb8.5 (25x 2026E PE)
600761.SS	Anhui Heli	*Eric Lau*	US Tariff Burden: 30% tariff hike → ~10pp initial US GPM impact; planned 15-20% price lift + 5% COGS cut to gradually recover margins N. America Weakness: North America sales -20% YoY in Jan-Apr 2025; domestic shipment only +2.8% YoY with Type 4-5 in teens decline Margin Over Growth: Mgmt prioritizing margin stabilization over revenue growth amid competition. TP: Rmb15.2 (10x 2025E PE; 20% discount to Hangcha)
603833.SS	Oppein Home	*Eric Lau*	Industry Headwinds: Full-year 2025 revenue won't show positive growth; high correlation with weak property sales GM Pressure: GM improvement in 1H25 unlikely to continue due to high base; national subsidy benefits (~20% of 2H24-1H25 rev) wearing off TP: RMB52.0 (11x 2025E PE)
603338.SS	Dingli	*Eric Lau*	CVD Hike: US countervailing duty increased from 11.97% to 32.26%; cumulative US tariffs (ADD + CVD + Section 301) reach 69.65% AWP Volume Collapse: Industry AWP sales -30.1% YoY in 11M25; domestic -43.4% on fleet overcapacity; 100% China production vs peers with non-China bases 2026E Earnings Slide: LSD-MSD rev growth on high CMEC base; GM contraction on higher tariff sharing. TP: RMB32 (~8x 2025E PE)
002747.SZ	Estun	*Jamie Wang*	Earnings Volatility: 2Q25 loss-making; NPM only ~1% vs 4% historical avg; ROE 3.7% in 2025E despite recovery Valuation Concerns: Trading at 108x 2025E P/E and 11.1x P/B; CLOOS overseas rev flat at RMB600mn on project delays TP: RMB13.8 (6.4x 2025E P/B)

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research

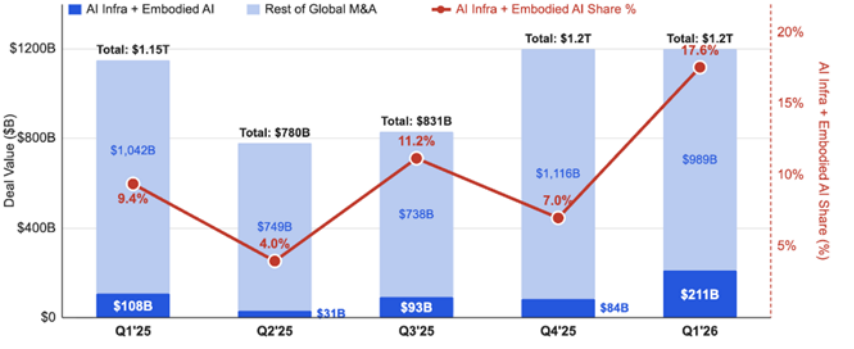
Private M&A fund flows skewing towards AI-infra and Embodied AI

Per S&P Global, A&O and Global Data, we summarize major private M&A deals in YTD 2026 mainly from two evolving sectors – **AI-infra and Embodied AI**. **Fig 5 & 6** exhibits the major M&A deals including the period of announcement, fund raised, acquirer name, acquisition target, sectors and synergies. Excluding the two mega deals – **Space X and Stargate**, the funds raised have almost doubled to US$211bn in 1Q26 from AI-infra and Embodied AI sectors vs US$108bn a year ago.

订阅研报添加微信 LCD123321Cad 04-16

As % of funds rose from these two themes, the % to total funds raised has also doubled from 9.4% to 17.6% over the period. See **Fig 4**. In other word, despite the global stock market volatility in 1Q26 from surge of oil price amid US-Iran conflict, the investment interest to these two themes has been escalating during 1Q26. We deem private M&A market reflects more LT investment money. For instance, this also involves many investments in pre-IPO companies. This trend underpins our stock picking strategy this year skewing towards two high-beta themes on AI-infra and Embodied AI with our stock pick table in **Fig 1**.

Figure 4. AI Infra + Embodied AI M&A as Share of Global Private Deal Value But excluding two mega deals Space X and Stargate



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Note: AI Infrastructure spans three layers: (1) Core Hardware & Power (chips, data centers, silicon photonics, power generation), (2) Foundation & Tooling (AI models, MLOps, cloud platforms), and (3) Trust & Data (cybersecurity, data governance). Embodied AI covers humanoid robots, delivery and warehouse robotics, and perception hardware

Source: Citi Research, S&P Global MI, A&O Shearman, GlobalData

Please reach out to us if you need a full list for 2025-YTD 2026 in **Fig 5&6**.

订阅研报添加微信 LCD123321Cad 04-16

Figure 5. Snapshot of major private deals (over USD10bn) in AI Infrastructure sector in 2025 and YTD 2026

#	Date	Acquirer / Investor	Target	Layer	Consideration (USD)	Type	Remark / Synergy
1	Feb 2026	Amazon / NVDA / SoftBank	OpenAI	Foundation	$110B	Funding round	Largest private financing; $840B post-money
2	H1 2026	BlackRock / MGX / MSFT / NVDA	Aligned Data Centers	Core HW & Power	$40B	Acq (closing)	Largest DC deal; 5+ GW across 50 campuses
3	Q1 2025	SoftBank / MSFT et al.	OpenAI	Foundation	$40B	Funding round	$300B post-money; largest private round at the time
4	Jul 2025	Synopsys	Ansys	Foundation & Tooling	$35B	Acquisition	Silicon-to-systems EDA; $400M synergies yr3
5	Mar 2026	Google (Alphabet)	Wiz	Trust & Data	$32B	Acq completed	Google's largest acq ever; AI cloud security
6	Feb 2026	GIC / Coatue / MSFT / NVDA et al.	Anthropic	Foundation	$30B	Series G	$380B post-money; $14B ARR; model layer duopoly
7	Mar 2026	Nebius (NBIS)	Meta ($27B expanded deal)	Core HW & Cloud	$27B	Multi-yr contract	$12B dedicated capacity + $15B incremental compute
8	Jan 2025	Constellation Energy	Calpine	Core HW & Power	$26.6B	Acquisition	Largest US power deal; generation capacity for AI DC
9	Feb 2026	Palo Alto Networks	CyberArk	Trust & Data	$25B	Acquisition	Largest cybersecurity acq; identity for agentic AI
10	Dec 2025	NVIDIA	Groq (IP + talent)	Foundation & Tooling	$20B	Licensing / acqui-hire	Consolidates inference dominance; ~3x premium
11	Sep 2025	Nebius (NBIS)	Microsoft ($17.4B contract)	Core HW & Cloud	$17.4B	Multi-yr contract	Neocloud alternative to hyperscalers
12	Q3 2025	Amazon / Google et al.	Anthropic	Foundation	$13B	Funding	Scale Claude AI training and deployment
13	2025	IBM	Confluent	Foundation & Tooling	$11B	Acquisition	Real-time data streaming pipelines for agentic AI

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Selection: All AI Infra deals ≥$10B. Excludes Stargate ($500B JV) and SpaceX/xAI ($1.25T merger).

Source: Citi Research, Company Reports

订阅研报添加微信 LCD123321Cad 04-16

Figure 6. Snapshot of major deal (over US$100m) list on Embodied AI sector during 2025 and YTD 2026

#	Date	Acquirer / Investor	Target	Sector	Consideration (USD)	Type	Remark / Synergy
1	Oct 2025	SoftBank	ABB Robotics Division	Industrial robotics	$5.4B	Acquisition	Fusing ASI ambition with industrial kinetic hardware
2	Dec 2025	SoftBank / NVDA / Bezos / Sequoia	Skild AI	Robot foundation model	$1.4B	Series C	$14B post-money; robot-agnostic universal brain (Skild Brain)
3	Mar 2026	Tether / Amazon / Qualcomm / Bosch	NEURA Robotics	Humanoid robotics	~$1.2B	Series C	$4.6B post-money; 4NE1 Mini; ~$1B order book; European anchor
4	Sep 2025	Parkway / Brookfield / NVDA / Intel Capital	Figure AI	Humanoid robotics	$1B+	Series C	$39B post-money; valuation benchmark; deployed at BMW (90K+ parts)
5	Jan 2026	Mobileye (Intel)	Mentee Robotics (Israel)	Humanoid / perception	$900M	Acquisition	AV vision pivoting into humanoid; autonomous driving tech is fungible
6	Nov 2025	CapitalG / Lux / Bezos / OpenAI	Physical Intelligence	Robot foundation model	$600M	Series B	$5.6B post-money; universal robot model (pi-0)
7	Aug 2025	Bezos Expeditions (lead)	Field AI	Autonomous robot AI	~$405M	Funding	$2B post-money; autonomous robot AI systems
8	Mar 2025	B Capital / Google / Mercedes / ARK	Apptronik	Humanoid robotics	$403M	Series A	~$1.5B post-money; Apollo humanoid on Mercedes assembly lines
9	Jun 2025	Tencent / Alibaba / ByteDance	Unitree Robotics	Humanoid robotics	Several $B yuan	Series C	$1.7B post-money; R1 at $5,900; IPO filed Mar 2026
10	Mar 2025	Greenoaks / Spark Capital	The Bot Company	Consumer humanoid	$150M	Series B	$2B post-money; household robot
11	Jan 2025	Guoxin / SoftBank Vision Fund	Fourier Intelligence	Humanoid robotics	$109M	Series E	$1.1B post-money; GR-2 humanoid; Shanghai-based

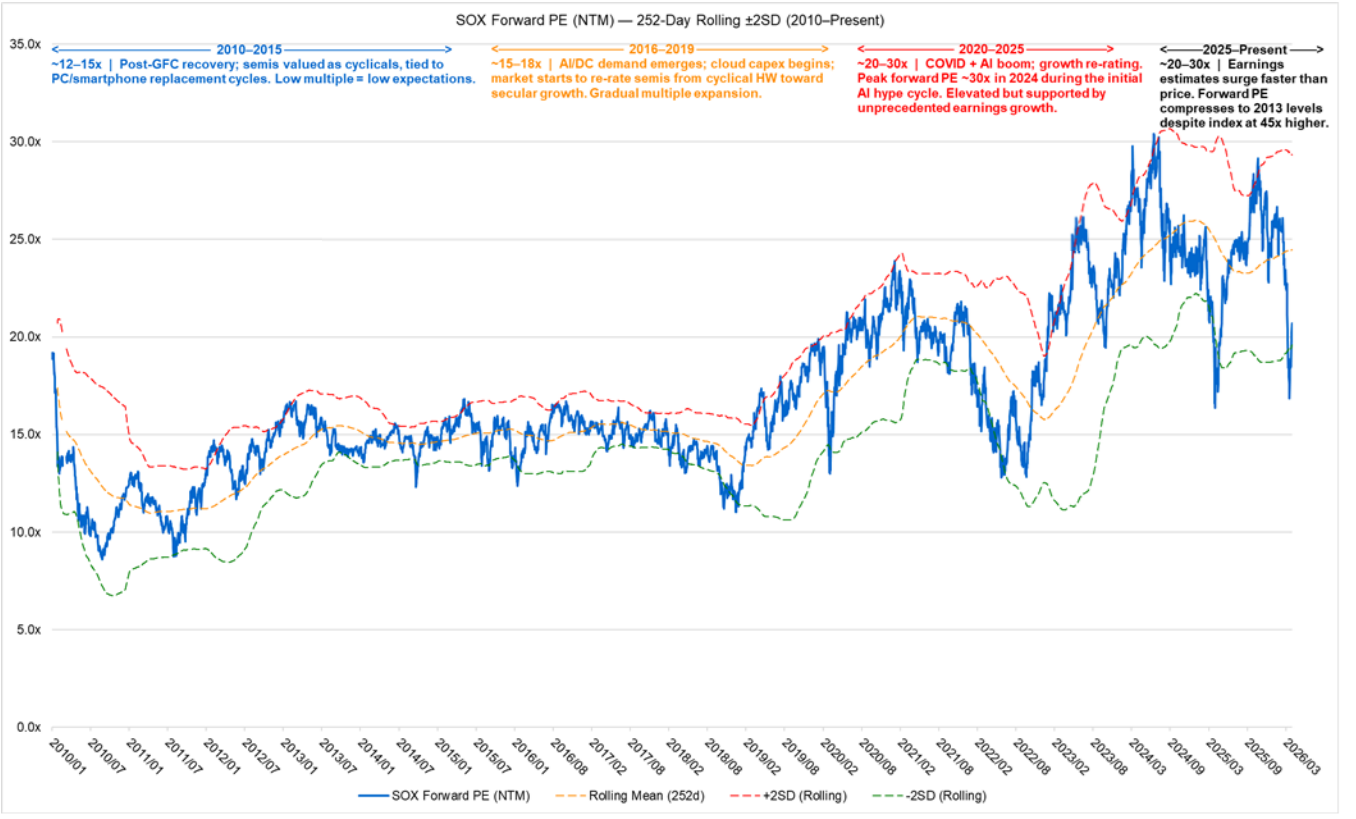
© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Selection: All Embodied AI deals ≥$100M. Covers humanoid robotics, delivery/warehouse automation, robot foundation models, perception.

Source: Citi Research, Company Reports

Despite the recent global market volatility arising from soaring oil prices in Mar, the SOX index **(PHLX Semi Sector Index)** has recently reached an all-time high. This is likely driven by stronger semi earnings growth from AI-infra as the recent PE of SOX index has been falling. See following **Fig 7**.

Figure 7. SOX Forward PE (NTM) — 252-Day Rolling ±2SD (2010–Present)



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Note: We use Rolling SD to dynamically adjust to each valuation regime as the market evolves

Source: Citi Research, Bloomberg

订阅研报添加微信 LCD123321Cad 04-16

China Industrial Outlook 2026

Initial signs of improving trends

During 1Q26, we see better trends in relation to China Industrial sector including:

1) **FAI** – first time for sub-sector property, infra, manufacturing all positive during 2M26 vs 2025,

订阅研报添加微信 LCD12321Cad 04-16

2) **the possible start of China MFG inventory restocking**,

3) **robust China export growth**,

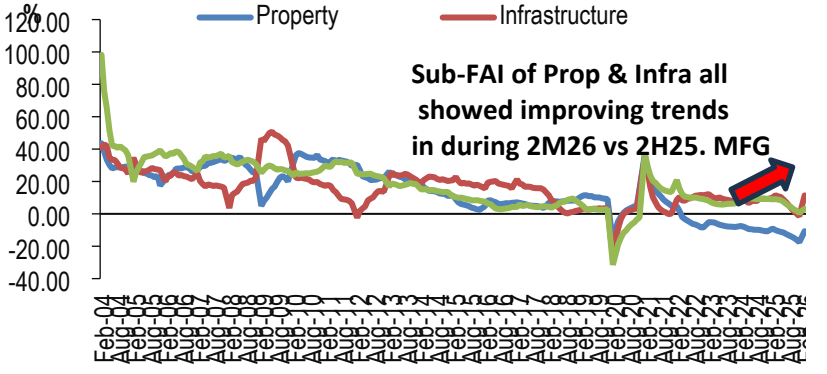
4) **improving Japan machine orders to China** with stronger growth rates in recent months.

1) Improving FAI trend

The sub-FAI of property, infra and manufacturing all turned positive as 0%, 11.4% and 3.1% respectively during 2M26. Property FAI in early 2026 was better than persistent decline range of 9.1% to 17.5% in 2025. Infra FAI in early 2026 was stronger than 2H25's range from -1.5% to +7.3%. Mfg FAI in early 2026 also showed faster growth than +0.6% to 2.7% during 4Q25. The muted economic growth in 2H25 may cause China govt to underpin positive growth of Infra and Mfg (particularly for advanced manufacturing) to counter the risk of an economic slowdown.

订阅研报添加微信 LCD12321Cad 04-16

Figure 8. FAI sub-sectors improving trends lately



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, NBS

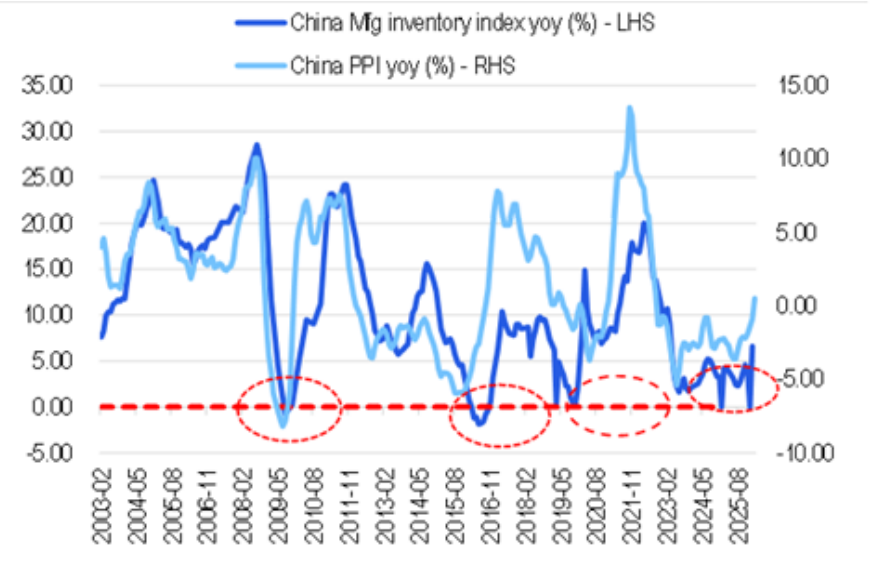
2) China MFG inventory will likely be restocking

订阅研报添加微信 LCD12321Cad 04-16

China PPI growth has a high correlation with China Mfg inventory index shown in the following chart in addition to comparable period of inflection point (shown in dotted red circle). China PPI started to return to positive territory at 0.5% in Mar 2026, ending a 41-month decline. Citi economics team forecast PPI growth of positive 1.0% yoy after the persistent decline during 2023-25 (-3.0% in 2023, -2.2% in 2024, -2.6% in 2025). This will likely lead to mfg inventory recovery for the rest of this year.

The recent start of PPI growth would likely cause MFG inventory restocking ahead

Figure 9. The start of positive PPI growth since Mar 2026 would likely prompt for MFG inventory restocking ahead



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, NBS

3) China export maintains strong growth momentum

China export growth was robust in 2025 and even surged to almost 40% in Feb 2026. See **Fig 10**. We attribute it to China's success on:

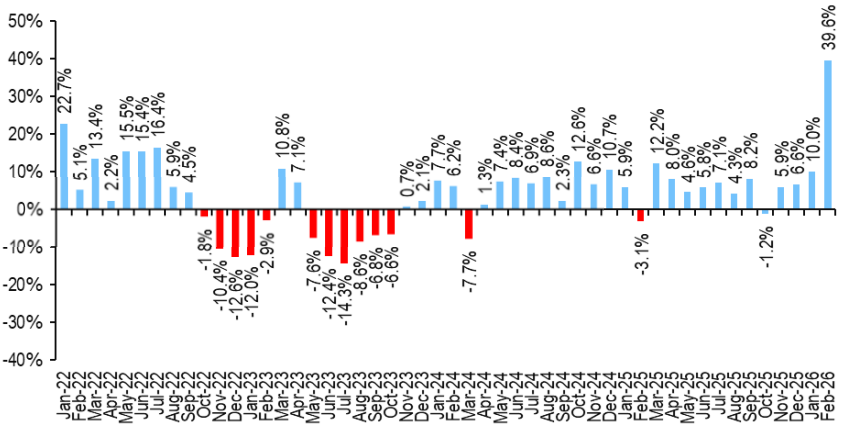
1) **Market diversification** into ASEAN (13% in 2025 and accelerating to ~30% in early 2026), Africa (~26% in 2025 and further rose to 34% in 2M26), EU ~8% in 2025 but grew ~28% in 2M26) though China exports to N America down 20% in 2025 but shrinking to a slump of ~11% in early 2026.

2) **High-tech and green export** like NEV (55% in 2025 and even rose to ~67% during 2M26), Li-ion batteries (~38% in 2025, further stronger to >40% in early 2026), solar cell (>70% in 2025, a modest decline during 2M26 for high base), 3D printing equipment (~45% in 2025, further to ~54% in early 2026), semi (14% in 2025, but soared by >70% in 2M26), industrial robot (28% in 2025, further rose to >30% in early 2026).

3) **Muted domestic demand causing lower export price** – the soft domestic demand has been dragging prices which makes China exports even more competitive.

订阅研报添加微信 LCD123321Cad 04-16

Figure 10. China export growth



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, China Custom

4) Japan machine orders to China imply acceleration in early 2026

Per JMTBA, Japan machine orders to China acts as a leading indicator for China advanced manufacturing. The yoy growth rate was slower at single digit of 2%-8% during Jun-Aug 2025. The growth momentum then accelerated starting from Sep at 25%, Oct at 10%, Nov at 30%, and Dec at 2%. However, the growth rates further accelerated to 57% in Jan 2026 and 40% in Feb 2026.

The strong annual growth suggests Chinese firms are aggressively upgrading to higher-end Japanese machinery. Key drivers are **1)** China equipment renewal policy, and **2)** automation and robotics driven as demand is shifting away from simply assembly towards complex 5-axis machining and high-precision tools used in EV components and semiconductor equipment. This leading indicator would suggest a production ramp-up in the electronics / auto sectors for 3Q26.

This robust Japan machine order seems in contrast with slower momentum of China NBS MFG PMI below 50 during 2M26 (i.e., 49.3 in Jan and 49.0 in Feb). This reflects large SOE (state-owned enterprises) are still facing soft domestic demand. This is in line with quite flattish China Business Climate Index as Mar 2025 quarter at 108.5, Jun quarter at 108.5, Sep quarter at 108.9 and Dec quarter at 108.4.

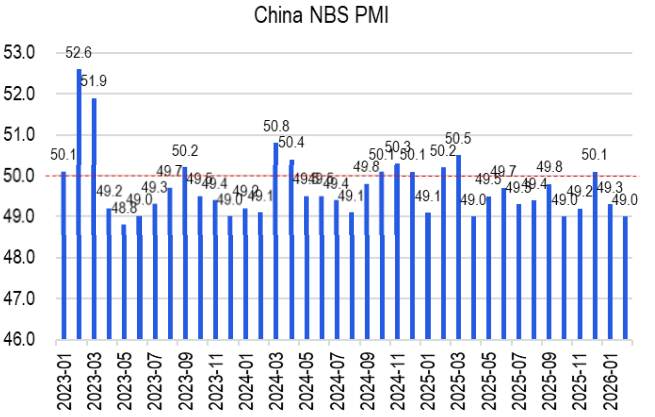
Automation, robots, and export have more promising prospects

In contrast, China Caixin PMI datapoint had a recent uptick from latest trough of 49.9 in Nov 2025 to subsequently improved 50.1 in Dec, 50.3 in Jan and 52.1 in Feb. China Caixin reflects SME and export manufacturing which are increasingly expanding manufacturing activities on automation, robots and external demand.

Figure 11. YoY Japan machine tool order to China

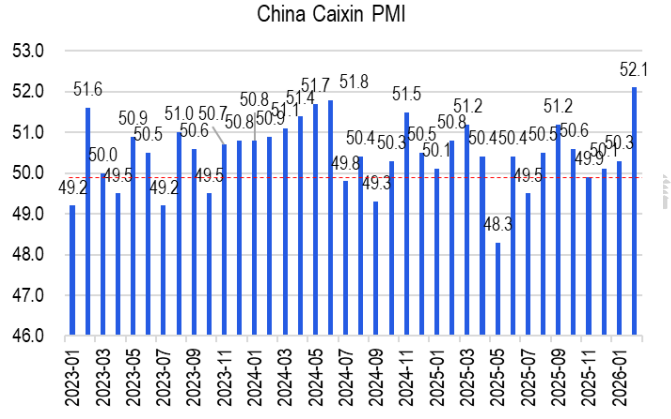
© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, JMTBA

Figure 12. China NBS PMI



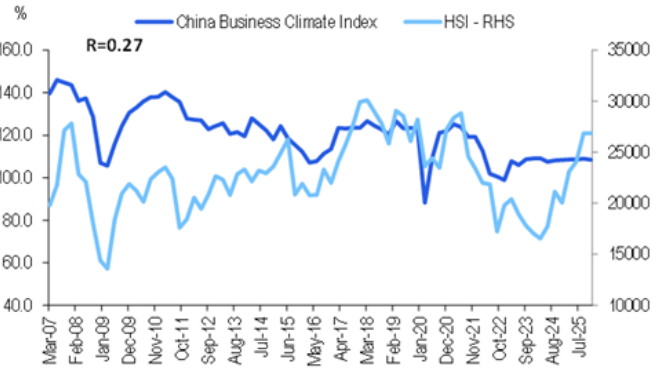
© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, NBS

Figure 13. China Caixin PMI



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, Caixin

Figure 14. Lower correlation of China Business Climate Index and HSI



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, Wind, NBS

Figure 15. Higher correlation of China Business Climate Index and HSCEI

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, Wind, NBS

LCD123321Cad 04-16

Figure 16. Citi Economics Team forecasts during 2026

	Unit	2019	2020	2021	2022	2023	2024	2025F	2026F	24Q1	24Q2	24Q3	24Q4	25Q1	25Q2	25Q3F	25Q4F	26Q1F	26Q2F	26Q3F	26Q4F
Real GDP	%YoY	6.1	2.3	8.6	3.1	5.4	5.0	5.0	4.7	5.3	4.7	4.6	5.4	5.4	5.2	4.8	4.6	4.6	4.7	4.7	4.7
	%QoQ									*1.3*	*1.0*	*1.5*	*1.5*	*1.2*	*1.0*	*1.1*	*1.2*	*1.3*	*0.9*	*1.1*	*1.3*
Consumption	ppt	3.6	-0.1	5.2	1.0	4.3	2.2	2.7	2.8	2.8	2.2	1.4	1.6	2.8	2.7	2.7	2.6				
Gross Capital Formation	ppt	1.8	1.8	1.7	1.5	1.5	1.3	1.0	1.1	0.5	1.9	1.3	1.3	0.5	1.3	0.9	1.1				
Net Exports	ppt	0.7	0.7	1.7	0.5	-0.6	1.5	1.3	0.8	2.1	0.6	2.0	2.5	2.1	1.2	1.2	0.9				
Nominal GDP	%YoY	7.5	2.9	13.4	5.1	4.9	4.2	3.9	4.7	4.2	4.0	4.0	4.6	4.6	3.9	3.7	3.7	3.9	4.6	4.9	5.1
Industrial Production	%YoY	5.7	2.8	9.6	3.6	4.6	5.8	5.8	4.7	6.1	5.9	5.0	5.3	6.5	6.2	4.7	5.2	4.5	4.5	4.6	4.7
Services Sector Growth	%YoY	7.6	2.4	9.0	3.5	6.3	5.0	5.3	5.0	5.3	4.2	4.8	5.4	5.3	5.7	4.9	5.0	4.8	4.9	5.0	5.1
Nominal FAI	%YoY, Ytd	5.4	2.9	4.9	5.1	3.0	3.2	-0.5	2.0	4.2	3.9	3.4	3.2	4.2	2.8	-0.5	-0.5				2.0
Property	%YoY, Ytd	9.9	7.0	4.4	-10.0	-9.6	-10.6	-15.0	-15.0	-9.9	-10.5	-10.3	-10.6	-9.9	-11.2	-13.9	-15.0				-15.0
Infrastructure	%YoY, Ytd	3.8	0.9	0.4	9.4	5.9	4.4	1.5	5.0	5.8	5.4	4.3	4.4	5.8	4.6	1.1	1.5				5.0
Manufacturing	%YoY, Ytd	3.1	-2.2	13.5	9.1	6.5	9.2	4.0	3.0	9.1	9.5	9.3	9.2	9.1	7.5	4.0	4.0				3.0
Private FAI	%YoY, Ytd	4.7	1.0	7.0	0.9	-0.4	-0.1	-3.5	0.0	0.4	0.1	-0.3	-0.1	0.4	-0.6	-3.1	-3.5				0.0
Nominal Retail Sales	%YoY	8.0	-3.9	12.5	-0.2	7.2	3.5	4.1	4.8	4.7	2.6	2.7	3.9	4.6	5.4						
Exports	%YoY	0.5	3.6	29.9	7.0	-4.6	5.9	4.1	2.0	1.4	5.6	6.0	9.9	5.7	6.2	6.6	-1.3	0.0	-0.2	3.8	4.5
Imports	%YoY	-2.8	-1.1	30.1	1.1	-5.5	1.1	-0.4	2.0	1.7	2.6	2.4	-1.8	-7.0	-0.8	4.3	1.4	4.5	1.9	1.5	0.4
Trade Balance	US$ bn	421	524	637	838	822	993	1152	1176	182	252	258	298	273	314	314	277	245	299	317	316
Current Account	% of GDP	0.7	1.6	1.9	2.4	1.4	2.2	2.7	2.5	0.9	1.2	3.2	3.5	3.7							
GDP Deflator	%YoY	1.3	0.6	4.4	2.0	-0.5	-0.7	-1.1	0.0	-1.1	-0.7	-0.5	-0.8	-0.8	-1.3	-1.1	-0.9	-0.7	-0.1	0.2	0.4
CPI	%YoY	2.9	2.5	0.9	2.0	0.2	0.2	0.0	0.6	-0.1	0.3	0.5	0.2	-0.1	0.0	-0.2	0.3	0.7	0.4	0.4	1.0
PPI	%YoY	-0.3	-1.8	8.1	4.1	-3.0	-2.2	-2.6	-0.4	-2.3	-1.6	-1.8	-2.6	-2.3	-3.2	-2.9	-2.1	-1.6	-0.4	0.2	0.1
Budgetary Deficit	% of GDP	-2.7	-3.6	-3.0	-2.7	-3.8	-3.0	-4.0	-4.0												
General Government Deficit	% of GDP						-8.7	-10.6	-10.9												
M2	%YoY, EOP	8.7	10.1	9.0	11.8	9.7	7.3	7.5	7.6	7.0	6.2	6.8	7.3	7.0	8.3	8.4	7.5				7.6
Outstanding Loans	%YoY, EOP	12.3	12.8	11.6	11.1	10.6	7.6	6.9	7.0	9.6	8.8	8.1	7.6	7.4	7.1	6.6	6.9				7.0
New Loans	RMB trn	16.8	19.6	20.0	21.3	22.8	18.1	17.8	19.1	9.5	3.8	2.8	2.1	9.8	3.1	1.8	3.0				
TSF	%YoY, EOP	10.7	13.3	10.3	9.6	9.8	8.0	8.2	8.1	8.4	8.1	8.0	8.0	8.4	8.9	8.7	8.2				8.1
FX Reserves	US$ Bn, EOP	3,108	3,217	3,250	3,128	3,238	3,202	3,220	3,250	3,241	3,222	3,316	3,202	3,241	3,317	3,339	3,220				3,250
Policy Rate (7D Reverse Repo)	%, EOP	2.50	2.20	2.20	2.00	1.80	1.50	1.40	1.20	1.80	1.80	1.50	1.50	1.50	1.40	1.40	1.40	1.30	1.30	1.20	1.20
RRR (Large Banks)	%, EOP	13.00	12.50	11.50	11.00	10.50	9.50	9.00	8.50	10.00	10.00	9.50	9.50	9.50	9.00	9.00	9.00	8.50	8.50	8.50	8.50
USDCNY	EOP	7.0	6.5	6.4	7.0	7.1	7.3	7.1	7.1	7.2	7.3	7.0	7.3	7.3	7.2	7.1	7.1				

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, NBS

Citi Property team still expects a stagnant picture for China property market in 2026E with housing starts and completions (in terms of GFA) falling to the comparable degree of 15% yoy in 2026E. This should be an improving trend against a deeper decline in 2025.

Figure 17. Citi forecasts for China real-estate market, 2019-26E

		Absolute Amount								YoY Change (%)							
		2020	2021	2022 (restate	2023	2024	10M25	Citi FY25E	Citi FY26E	2020	2021	2022 (restate	2023	2024	10M25	Citi FY25E	Citi FY26E
Overall Commodity Housing																	
Real Estate Investment	RMB'bn	14,144	14,760	12,269	11,091	10,028	7,356	8,527	7,419	7.0%	4.4%	-16.9%	-9.6%	-10.6%	-14.7%	-15.0%	-13.0%
GFA Starts	mn sqm	2,244	1,989	1,198	954	739	491	587	499	-1.2%	-11.4%	-39.8%	-20.4%	-23.0%	-19.8%	-20.5%	-15.0%
GFA Completed	mn sqm	912	1,014	853	998	737	349	605	514	-4.9%	11.2%	-15.9%	17.0%	-27.7%	-16.9%	-18.0%	-15.0%
GFA under construction	mn sqm	9,268	9,754	9,034	8,384	7,332	6,529	6,599	6,005	3.7%	5.2%	-7.4%	-7.2%	-12.7%	-9.4%	-10.0%	-9.0%
Transaction amount - Overall	RMB'bn	17,361	18,193	12,473	11,662	9,675	6,902	8,514	7,594	8.7%	4.8%	-31.4%	-6.5%	-17.1%	-9.6%	-12.0%	-10.8%
GFA Sold - Overall	mn sqm	1,761	1,794	1,221	1,117	974	720	896	833	2.6%	1.9%	-31.9%	-8.5%	-12.9%	-6.8%	-8.0%	-7.0%
Property Price YoY	%									5.9%	2.8%	0.7%	2.2%	-4.8%	-3.0%	-4.3%	-4.1%
Land Area acquired	mn sqm	255	216	101	N/A	N/A				-1.1%	-15.5%	-53.4%	N/A	N/A			
Land Sales Value	RMB'bn	1,727	1,776	917	N/A	N/A				17.4%	2.8%	-48.4%	N/A	N/A			
Residential																	
GFA Starts - Residential	mn sqm	1,643	1,464	876	693	537	360	431	371	-1.9%	-10.9%	-40.2%	-20.9%	-23.0%	-19.3%	-19.7%	-14.0%
GFA Completed - Residential	mn sqm	659	730	618	724	537	249	435	374	-3.1%	10.8%	-15.4%	17.2%	-27.4%	-18.9%	-19.0%	-14.0%
GFA under construction - resi	mn sqm	6,556	6,903	6,400	5,907	5,133	4,553	4,594	4,158	4.4%	5.3%	-7.3%	-7.7%	-13.1%	-9.7%	-10.5%	-9.5%
Transaction amount - Residential	RMB'bn	15,457	16,273	10,956	10,299	8,486	6,069	7,502	6,775	10.8%	5.3%	-32.7%	-6.0%	-17.6%	-9.4%	-11.6%	-9.7%
GFA Sold - Residential	mn sqm	1,549	1,565	1,033	948	815	603	747	693	3.2%	1.1%	-34.0%	-8.2%	-14.1%	-7.0%	-8.3%	-7.3%
Residential Price YoY	%									7.5%	4.2%	2.1%	2.4%	-4.1%	-2.6%	-3.6%	-2.6%

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, NBS

Update on Industrial Verticals for 2026 After 2025 Results

Post 2025 results and 2026 update guidance, we downgrade the following sectors: 1**) capital goods and rail equipment** due to worse-than-expected rail capex outlook; **2) PIMM sector** for slowing China consumption and possible margin pressure from major customers under recent oil price surge; **3) Smart controller & electronic components** owing to escalating margin pressure form US tariffs; **4) infra construction** for slowdown in project deployment amid tight local govt credit, **5) integrated communication system** due to slowing corporate capex in the US/EU.

订阅研报添加微信 LCD123321Cad 04-16

Figure 18. Updated views on 20 verticals within China Industrials and Transport Sector

Outperforming Verticals	Verticals Neutral	Underperforming Verticals
Apparel and footwear ODM	Capital goods and rail equipment ↓	Building material
Automation and laser equipment	Industrial testing services	Home furniture
Construction machinery	Paper containerboard	Infra construction ↓
Defense and aviation	Plastic injection molding machine (PIMM) ↓	Integrated communication system ↓
Electrification of power tools	Smart controller & electronic components ↓	
Forklift and AWP manufacturers		
Humanoid robot chain		
Laminate and PCB		
NEV and EV battery equipment		
Shipping		
Semiconductor Equipment (Etching & ATE)		

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research

订阅研报添加微信 LCD123321Cad 04-16

Figure 19. Positive-view verticals in 2026

Industrial Verticals	Peer group	Citi commentary on 2026 Outlook
Apparel and footwear ODM	**Shenzhou (2313.HK, Buy)** > Stella (1836.HK, Buy) > Huali (300979.SZ) > Crystal (2232.HK, Buy) > Yue Yuen (0551.HK, Buy)	The sector will benefit in 2026 from **1)** FED rate cut; **2)** likelihood of no further deterioration of US reciprocal tariffs; **3)** and Nike will possible start turnaround per mgmt guidance.
Automation and laser equipment	**Han's Laser (002008.SZ, Buy)** > Han's CNC- H (3200.HK) > OPT Machine Vision (688686.SS, Buy) > Yiheda (301029.SZ, Buy) > Inovance (300124.SZ, Buy) > Han's CNC-A (301200.SZ) > Estun (002747.SZ, Sell) > SUPCON (688777.SS, Sell)	We see strong AI PCB drilling equipment demand driven by both fast-growing AI/datacenter globally and key Chinese PCB makers' aggressive capacity expansion in order to win firm orders from Nvidia (NVDA.O) and ASIC makers. In addition, our industry checks show that Apple's equipment makers generally anticipate 30%-40% YoY equipment order growth in 2026 driven by the launch of iPhone 18 – Apple's first foldable phone with modifications on VC heat dissipation and periscope. As such, our top picks are **Han's Laser (002008.SZ, Apple equipment)** with lower PE, followed by Han's CNC-H (3200.HK, AI PCB equipment). We are also positive on other Apple's equipment suppliers OPT Machine Vision (688686.SS) and Yiheda (301029.SZ). **SUPCON (688777.SS, process automation)** remains as **our Top Sell in China automation space** given China's chemical FAI downturn.
Construction machinery	**Zoomlion (1157.HK, Buy)** > Sany-H (6031.HK, Buy) > Sany-A (600031.SS, Buy) > Dingli (603338.SS, Sell)	Looking into 2026, we are more constructive on the mid-to-late cycle products such as crane and concrete machinery than on the early cycle product excavator. As China's excavator demand has resumed positive YoY growth since Mar-24, the crane machinery in China hasn't returned to the growth trajectory until 1H25. In addition, we also noted that China's tower crane utilization rate has improved YoY since Nov-25, indicating that even though the property-dependent machinery may be bottoming out soon. Potential demand upsides could be driven by China's mega projects Yarlung Zangbo River Hydropower and Xinjiang-Tibet Railway. We now prefer Zoomlion over Sany in China construction machinery OEM due to Zoomlion's higher mid-to-late cycle product exposure, high dividend yield (~5%), and potential value accretive led by its humanoid robot business. Our machinery OEM pecking order is **Zoomlion (1157.HK) > Sany-H (6031.HK) > Sany-A (600031.SS) > Dingli (603338.SS)**
Defense and aviation	**AVIC Jonhon Optronic (002179.SZ, Buy)** > AviChina (2357.HK, Buy)	Spurred by the escalated geopolitical tension and neighboring countries'/regions' defense budget raises (e.g., EU, Japan, South Korea, and the US), we expect China to beef up its national defense budget as well, following a ~7% YoY increase in 2025. We also believe that the aerospace business could be an additional growth driver in 2026 onwards as China announced an act to promote the high quality growth of commercial aerospace industry. We see the sector's valuation attractive but prefer **AVIC Jonhon (002179.SZ)** for its stronger earnings growth profile.
Electrification of power tools	**Techtronic (0669.HK, Buy)** > Great Star (002444.SZ, Buy) > Stanley Black & Decker (SWK.N, Buy) > Chervon (2285.HK, Sell)	The sector will benefit in 2026 from **1)** high demand elasticity from FED rate cut particularly for consumer segment, **2)** likelihood of no further deterioration of US reciprocal tariffs, **3)** AI server demanding power tools for installation and some players like Great Star manufactures AIDC rack.
Forklift and AWP manufacturers	**Hangcha (603298.SS, Buy) >** Heli (600761.SS, Sell) **>** Dingli (603338.SS, Sell)	We're positive on forklift market in 2026 with China industry CAGR of 13-14% from 2026-33 per Grand View Research. This is based on **1)** replacement and new demand, **2)** warehouse automation via AGV / AMR, **3)** e-commerce. By comparison, domestic forklift industry consolidation is more mature than AWP ie **Dingli (603338.SS)** will face more intense competitive pressure in China market for new AWP entrants like **Xugong (000425.SZ)**, **Zoomlion (1157.HK)**, Linzong. **Dingli (603338.SS)** is facing potential threat from US/EU anti-dumping duty on AWP with earnings downside risk in 2026 after pre-sales demand in 2025 on US tariffs.
Humanoid robot chain	**Hengli Hydraulic (601100.SS, Buy)** > UBTECH (9880.HK, Buy) > Leader Drive (688017.SS, Buy)	We expect the humanoid robot production in 2026 to grow exponentially or at least double the 2025 scale due to production ramp by Chinese and leading US humanoid robot makers. Comparing with humanoid robot OEMs, we prefer key component makers more espeically those which penetrate into the leading US humanoid robot maker's supply chain. Our industry check shows that the leading US humanoid robot maker has finalized the design of its latest robot (Gen 3) and target to ramp production in Jul-26 or Aug-26. In China, we are suprised with UBTECH's upward revision on the humanoid robot shipment guidance and emphasis on developing VLAs and collecting real data. Our pecking order is **Hengli Hydraulic (601100.SS) > UBTECH (9880.HK) > Leader Drive (688017.SS).** We employ "barbell" investment strategy in the humanoid robot space - Buy either key component with solid fundamentals or humanoid robot OEM with strong growth potential.
Laminate and PCB	**Shengyi (600183.SS, Buy)** > KB Laminate (1888.HK, Buy) > Han's Laser (002008.SZ) > Han's CNC (301200.SZ) > Shennan (002916.SZ, Buy) > KB Holdings (0148.HK, Buy)	Laminate industry will continue upcycle for 2026 due to sustained copper / fiberglass fabric cost hike and robust momentum of AI-infra. The higher industry concentration on laminate than PCB enables laminate industry to hold stronger pricing power. AI demand outlook remains phenomental for 2026. Shengyi should enjoy monopoly position amongst China CCL suppliers this year under NVDA supply chain.
NEV and EV battery equipment and components	**Wuxi Lead (300450.SZ, Buy)** > Inovance (300124.SZ) > Times Electric (3898.HK, Neutral)	We see promising 2026 outlook for **Wuxi Lead (470.HK / 300450.SZ)** as its new order grew by 37% YoY in 2025, and mgmt. recently indicated that the previous new order growth guidance of 30% YoY for 2026 could be revised up given leading battery customers' upward revisions of capacity expansions. Amid the higher oil price environment, we also believe that Wuxi Lead could see demand upsides from both ESS and EV battery equipment.
Shipping	Container shipping: **COSCO Shipping (1919.HK,Buy)** Container ports: **COSCO Shipping Ports (1199.HK, Neutral)**	We continue to expect sequential improvements in spot rates into mid-2026 driven by expected inventory re-restocking of Western economies, supported by the US Supreme Court's ruling against Reciprocal Tariffs. The current Middle Eastern conflict has limited direct implication to industry's demand / supply, in our view, yet congestion tallying to 1.9% of global fleet combined is either caught inside of Hormuz or waiting outside (Linerlytica, Mar 10th). We believe liners should find it less of a challenge in the near term to pass-on higher bunker costs either via General Rates Increases and/or surcharges under various names (Distribution Publications, Mar 6th) as ocean freight generally accounts for c10% of cargo value such as flat-packed furniture, according to Vespucci Maritime. We think COSCO Shipping Ports (1199 HK, Neutral, HK$5.51 TP)**'s valuation appears full** and **prefer COSCO Shipping Holding** (1919 HK, Buy,
Semiconductor Equipment (Etching and ATE)	**AccoTEST (688200.SS) > AMEC (688012.SS, Buy)** > NAURA (002371.SZ, Buy)	We prefer back-end ATE (Automated Test Equipment) **AccoTEST (688200.SS, Buy)** over front-end etching equipment given AccoTEST's early cycle nature and benefiting from OSAT companies capex increase. Between the two leading Chinese etchers, we nw **prefer AMEC (688012.SS) over NAURA (002371.SZ)** given AMEC's faster product expansion to capture a bigger TAM. Our optimism on China front-end semi-equipment sector is based on the leading Chinese memory companies' capacity expansions to raise the China's memory (NAND and DRAM) self-sufficient ratio and attempt to shorten the gap from international peers.

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research

订阅研报添加微信 LCD123321Cad 04-16

Figure 20. Negative-view verticals in 2026

Industrial Verticals	Peer group	Citi commentary on 2026 Outlook
Building material	**China Lesso (2128.HK, Buy)** > Weixing (002372.SZ, Neutral)	Plastic pipe demand will be challenging from 2026 due to anticipation of continued decline of housing starts and housing completion. But China Lesso keeps growth momentum in overseas infra under One-Belt-One-Road projects and in China for new applications like agriculture and infra.
Home furniture	**Man Wah (1999.HK, Buy)** > Oppein (603833.SS, Sell) > SFY (002572.SZ, Sell)	Furniture sector remains challenging in 2026 under tougher property market which would lead to both declines of housing starts and housing completion this year.
Infra construction	**CSCI (3311.HK, Buy)** > CRG (0390.HK, Buy) > CSCEC (601688.SS, Buy) > CCCC (601800.SS, Sell)	The infra sector will continue under FAI infra slowdown or even decline in 2026 amid local govt tightening credit. The balance sheet is generally weak in this sector which may not easily boost dividend payout ratio further.
Integrated communication system	**VTech (0303.HK, Buy) >** Yealink (300628.SZ, Neutral)	Expectation of slowdown corporate capex in overseas would drag replacement of commercial communication system. But VTech has a Buy rating on attrative div yld of high-single-digit.

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research

Figure 21. Neutral-view verticals in 2026

Industrial Verticals	Peer group	Citi commentary on 2026 outlook
Industrial testing services	**CTI (300012.SZ, Buy)**	The testing service industry will continue under pressure for 2026 amid slowdown macro and exposure of local govt in lack of liquidity so as to defer or reduce volume of testing services. The valuation of **CTI (300012.SZ)** trading at -1SD to mean which is undemanding. In addition, CTI seems outperforming peers with recent upgrade of 2026 rev growth target to 15% from prior 10%.
Paper containerboard	Lee & Man Paper (2314.HK, Buy) > NDP (2689.HK, Neutral)	The paper demand appears soft in 2026 amid subdued domestic consumption despite China anti-involution policy. The pulp profitability will likely reduce from this year as many mid-sized rivals are building vertial integration mode
Plastic injection molding machine (PIMM)	**Haitian (1882.HK, Buy)**; Yizumi (300415.SZ, NR)	PIMM industry outlook has a modest demand growth in China given soft domestic consumption.
Smart controller & electronic components	**Hongfa (600885.SS, Neutral)** > Topband (002139.SZ, Sell)	**Hongfa's (600885.SS)** significant GPM contraction in 4Q25 echoes our previous concern that surging silver and copper price could erode its GPM. As the raw material prices hover around the high levels, we are worried that Hongfa's GPM pressure will persist throughtout 2026 even though it has hike its product ASP by ~10% in 1Q26. **Sell** on Topband for severe margin pressure amid US reciprocal tariffs
Capital goods and rail equipment	**CIMC Enric (3899.HK, Buy)** > Times Electric (3898.HK, Neutral) > CRRC (1766.HK, Sell)	We expect that the the high-speed MU (Multiple Unit) tenders in 2026 could be lower than 2025 (278 sets) as CSRG (China State Railway Group) may turn more conservative in budgeting given slowdown in rail passenger traffic growth. In addition, CRRC's recent mgmt. change could further reduce its 2026 earnings visibility given the historical correlation. We thus downgrade **CRRC (1766.HK)** to Sell from Buy after its 2025 results. As for **CIMC Enric (3899.HK)**, our Buy thesis is based on its rising offshore clean energy business exposure and chemical business recovery in a low-interest rate environment. Besides, potential upsides could come from Enric's aerospace business exposure. Enric mainly provides high-pressure, low-temperature Nitrogen/Helium/Hydrogen storage tanks to both Chinese companies and foreign rocket/aerospace manufacturers.

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research

A-share Industrial subsectors in 2026

Per the following table, the top 5 outperforming sectors during 1Q26 are 1) Glass & fiber (23.5%), 2) Grid equipment (20.4%), 3) Wind power equipment (19.9%), 4) Port (16.3%) and 5) Professional engineering (15.5%). This reflects the shortage of AI-infra sub-sectors on glass & fiber (for manufacture of copper clad laminate, PCB) and grid power equipment. These top 5 sectors would likely outperform in the near term for continued re-rating of AI-infra supply chain sub-sectors under shortage.

订阅研报请加微信 LCD123321Cad 04-16

Conversely, the top 5 worst-performing sectors are 1) Airport (-19.9%), 2) Motor (-14.0%), 3) Consumer electronics (-10.0%), 4) Construction machinery (-8.2%) and 5) Auto parts (-8.2%). The airport sector is the worst-performing sector amid oil price surge caused by the US-Iran conflict and reduction of non-aeronautical revenue after contracts renewal with China Duty Free and other operators since 1 Jan 2026. Motor was a top 6 performing sector in the last year for re-rating of supply chain's first entry into humanoid robot theme. However, the humanoid robot sector started de-rating after Chinese New Year as the market saw no positive surprise from China Spring Gala (such as performed by Unitree) are pre-programmed or remote controlled and no positive catalysts on the sector till Jul/

Aug from Optimus. Consumer electronics underperformance is a consensus view on the surge of memory prices due to shortages.

Figure 22. Ranking of highest return during 1Q26 by A-share industrial 44 sub-sectors

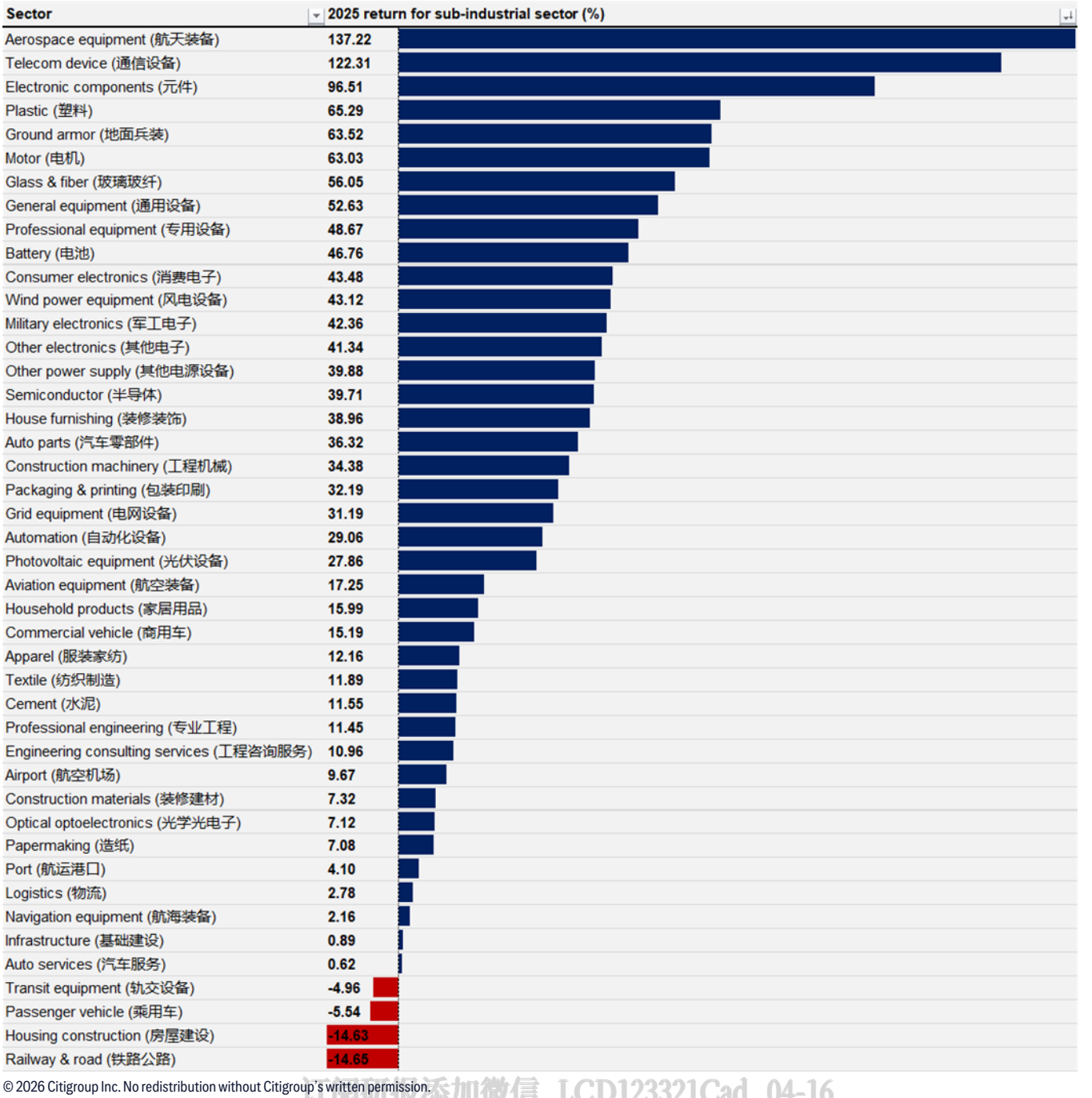
Sector	Sub-industrial sector	1Q26 return for sub-industrial sector (%)
玻璃玻纤	Glass & fiber	23.25
电网设备	Grid equipment	16.69
风电设备	Wind power equipment	15.60
航运港口	Port	14.28
专业工程	Professional engineering	13.51
基础建设	Infrastructure	6.63
其他电源设备	Other power supply	5.67
通信设备	Telecom device	4.89
装修建材	Construction materials	4.42
电池	Battery	4.05
航天装备	Aerospace equipment	3.77
自动化设备	Automation	3.07
包装印刷	Packaging & printing	2.22
通用设备	General equipment	2.01
光伏设备	Photovoltaic equipment	1.13
塑料	Plastic	0.76
服装家纺	Apparel	0.69
房屋建设	Housing construction	0.45
商用车	Commercial vehicle	0.00
物流	Logistics	-0.34
汽车服务	Auto services	-0.37
轨交设备	Transit equipment	-0.83
铁路公路	Railway & road	-0.98
元件	Electronic components	-1.50
水泥	Cement	-1.60
光学光电子	Optical optoelectronics	-1.71
航海装备	Navigation equipment	-2.31
半导体	Semiconductor	-2.42
专用设备	Professional equipment	-2.65
工程咨询服务	Engineering consulting services	-3.22
家居用品	Household products	-3.54
乘用车	Passenger vehicle	-4.49
装修装饰	House furnishing	-4.51
纺织制造	Textile	-4.79
地面兵装	Ground armor	-4.94
军工电子	Military electronics	-4.98
造纸	Papermaking	-5.13
其他电子	Other electronics	-5.46
航空装备	Aviation equipment	-5.93
汽车零部件	Auto parts	-8.29
工程机械	Construction machinery	-8.55
消费电子	Consumer electronics	-11.02
电机	Motor	-15.23
航空机场	Airport	-20.11

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

订阅研报添加微信 LCD123321Cad 04-16

Source: Citi Research, Wind

Figure 23. Ranking of highest return during 2025 by A-share industrial 44 sub-sector



Sector	2025 return for sub-industrial sector (%)
Aerospace equipment (航天装备)	137.22
Telecom device (通信设备)	122.31
Electronic components (元件)	96.51
Plastic (塑料)	65.29
Ground armor (地面兵装)	63.52
Motor (电机)	63.03
Glass & fiber (玻璃玻纤)	56.05
General equipment (通用设备)	52.63
Professional equipment (专用设备)	48.67
Battery (电池)	46.76
Consumer electronics (消费电子)	43.48
Wind power equipment (风电设备)	43.12
Military electronics (军工电子)	42.36
Other electronics (其他电子)	41.34
Other power supply (其他电源设备)	39.88
Semiconductor (半导体)	39.71
House furnishing (装修装饰)	38.96
Auto parts (汽车零部件)	36.32
Construction machinery (工程机械)	34.38
Packaging & printing (包装印刷)	32.19
Grid equipment (电网设备)	31.19
Automation (自动化设备)	29.06
Photovoltaic equipment (光伏设备)	27.86
Aviation equipment (航空装备)	17.25
Household products (家居用品)	15.99
Commercial vehicle (商用车)	15.19
Apparel (服装家纺)	12.16
Textile (纺织制造)	11.89
Cement (水泥)	11.55
Professional engineering (专业工程)	11.45
Engineering consulting services (工程咨询服务)	10.96
Airport (航空机场)	9.67
Construction materials (装修建材)	7.32
Optical optoelectronics (光学光电子)	7.12
Papermaking (造纸)	7.08
Port (航运港口)	4.10
Logistics (物流)	2.78
Navigation equipment (航海装备)	2.16
Infrastructure (基础建设)	0.89
Auto services (汽车服务)	0.62
Transit equipment (轨交设备)	-4.96
Passenger vehicle (乘用车)	-5.54
Housing construction (房屋建设)	-14.63
Railway & road (铁路公路)	-14.65

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Wind

订阅研报添加微信 LCD123321Cad 04-16

Figure 25. Five largest market cap stocks that underperformed in 1Q26

Industrial vertical	Company	Ticker	Rating	Mkt cap USD'm	1Q26 return
Airport	1 AIR CHINA	601111.SS	NR	16,775	-28.2%
	2 CSN	600029.SS	NR	14,626	-29.5%
	3 CEA	600115.SS	NR	13,410	-29.2%
	4 SIA	600009.SS	NR	9,818	-15.7%
	5 HAINAN AIRLINES HOLDING	600221.SS	NR	8,952	-19.9%
				Average 1Q26 retun	**-24%**
Motor	1 WOLONG ELECTRIC	600580.SS	NR	8,284	-24.4%
	2 ZHAOWEI	003021.SZ	NR	3,668	-22.7%
	3 MOONS'	603728.SS	NR	3,410	-21.2%
	4 JIANGSU LEILI	300660.SZ	NR	2,699	-22.9%
				Average 1Q26 retun	**-23%**
Consumer Electronics	1 FII	601138.SS	1	145,882	-16.6%
	2 LUXSHARE-ICT	002475.SZ	1	51,273	-12.9%
	3 LENS	300433.SZ	2	21,100	-7.6%
	4 HUAQIN TECHNOLOGY	603296.SS	NR	11,627	-11.7%
				Average 1Q26 retun	**-12%**
Construction Machinery	1 SANY	600031.SS	1	25,247	-9.0%
	2 JSHL	601100.SS	1	18,388	-12.7%
	3 XCMG	000425.SZ	NR	16,918	-13.0%
	4 ZOOMLION	000157.SZ	NR	10,625	2.0%
	5 HANGCHA GROUP	603298.SS	1	4,584	-7.8%
				Average 1Q26 retun	**-8%**
Auto parts	1 JAC	600418.SS	NR	14,878	-6.7%
	2 YTCO	600066.SS	1	11,342	9.7%
	3 FAW JIEFANG	000800.SZ	NR	4,668	-2.1%
	4 CNHTC-JNTC	000951.SZ	NR	3,734	31.7%
	5 FOTON	600166.SS	NR	3,325	0.7%
				Average 1Q26 retun	**7%**

订阅研报添加微信 LCD123321Cad 04-16

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Wind

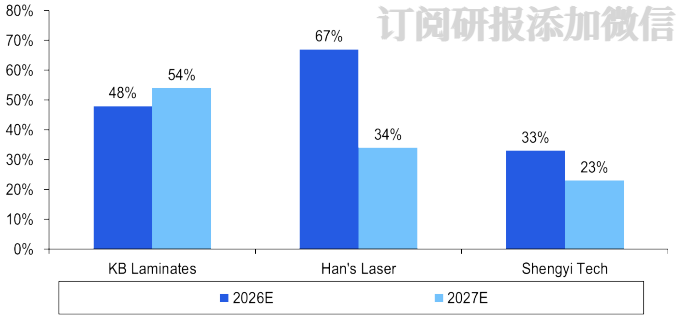
订阅研报添加微信 LCD123321Cad 04-16

Barbell Strategy with Company Update

AI-infra outlook (KB Laminates > Han's Laser > Shengyi Tech)

We switch our stock preference to **KB Laminates > Han's Laser > Shengyi Tech** from **Shengyi Tech > KB Laminates > Han's Laser**. We prefer upstream glass fabric & copper foil and also upstream PCB equipment over ordinary CCL players. As such, there is higher EPS growth prospects for KBL and Han's Laser than Shengyi Tech this year, based on our forecasts. See **Fig 26**. KBL is the only one among them with EPS growth acceleration in 2027E compared with 2026E due to growing shortage of glass fabric and copper foil benefitting KBL. In addition, Han's Laser (via the ~74%-owned subsidiary Han's CNC) should benefit from an influx of capex on PCB drilling equipment among PCB players as there is an increased number of them gaining NVDA or ASIC certification for capacity buildout. After the 2025 results, we model 2026E / 2027E EPS growth as 48% / 54% on KBL, 67% / 34% on Han's Laser, and 33% / 23% on Shengyi Tech.

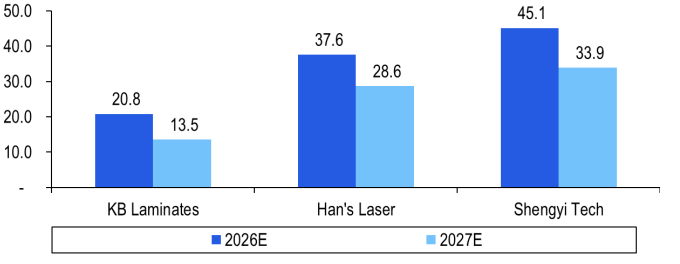
Figure 26. Comparison of 2026 / 27E EPS growth on KBL, Han's Laser, Shengyi Tech – KBL is the only one with acceleration of EPS growth in 2027 than 2026 for full-year contribution of upstream copper foil and glass fabric into NVDA supply chain



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research

Figure 27. Comparison of PER for 2026E and 2027E – KBL is the cheapest one followed by Han's Laser (share price as of 14 Apr)



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research

Upstream glass fabric and copper foil in shortage

During NVDA's 4QFY26 results call, NVDA painted a rosy picture for increased usage of high-end CCL materials. **The following figure** exhibits the rapid development of CCL materials roadmap from Ampere (A100) in 2020 to Blackwell with a full-year ramp in 2026 and then the next Rubin (Vera Rubin) from 2H26. This high demand of material upgrade should enable advanced CCL suppliers (including **EMC, Doosan, Shengyi, TUC, Panasonic, ITEQ** as certified for NVDA supply chain) to reap the opportunities under the NVDA ecosystem. The evolving trend is causing a shortage of AI-fabric (upstream material of CCL) for low Dk / gen 2, low CTE and evolving Q-glass. This significant material upgrade on AI-era differs from what we've seen with a small change of upstream material before during the PC/ notebook or smartphone upgrade.

Figure 28. NVDA platform upgrade roadmap adopting more advanced CCL grade material for high-speed / high-frequency requirement – set technology moat within NVDA ecosystem

Generation / Platform	Launch year	Key SesDes speed (per lane)	NVLink Generation/ per GPU bandwidth	Typical PCB layers	Dominant CCL grade (high-speed parts)	Key highlights / applications
Ampere (A100)	2020	56G PAM4	NVLink 3.0 (~600 GB/s)	~16-20 layers	M6-M7 (low loss)	Standard for early AI clusters; low signal demands
Hopper (H100/H200)	2022-23	112G PAM4	NVLink 4.0 (~900 GB/s)	~20-28 layers	M7-M8 (very low loss)	Introduced major high-layer needs; M8 in NVSwitch trays
Blackwell (B200/GB200/GB300)	2024-25 (full ramp in 2026)	224G PAM4	NVLink 5.0 (~1.8TB/s)	~20-40+ layers (eg 20-layer UBB in GB300)	M8 (mainstream), some M8.5; Doosan / EMC dominant in trays	Compute Tray: mostly M8 (16/20 layers high-speed)
Rubin (Vera Rubin) / NVL72	2H2026 onward	224G+	NVLink 6.0 (~3.6 TB/s)	~26-44+ layers (up to 78-layer orthogonal in Ultra)	M8-M8.5 (main), selective M9(CPX, midplane, backplanes)	Cost-optimized : M8.5 in many areas for signal integrity at higher density
Rubin Ultra / Future	2027+	400G+ direction	NVLink 6+ / higher	~78+ layers (orthogonal backplanes)	M9 (quartz-based)	Extreme upgrades; Orthogonal backplanes (3x 26-layer to 78 layer composite); M9 is mandatory for 200G+ SerDes loss control

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company Reports

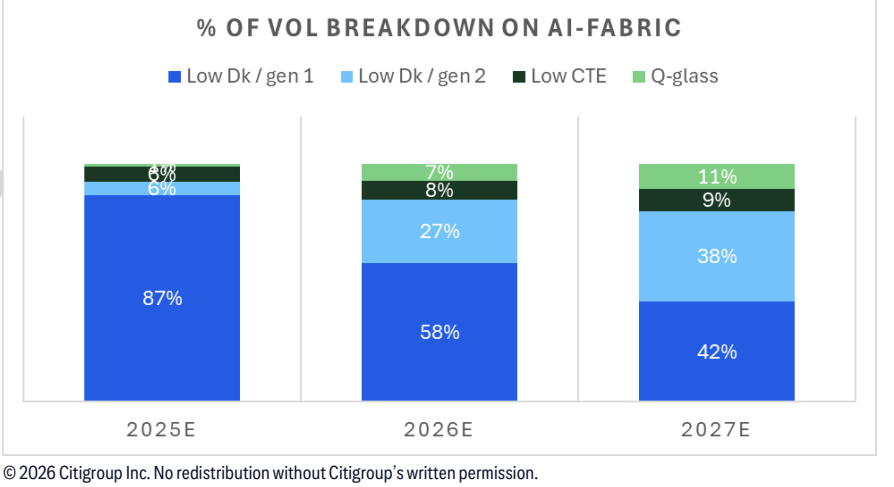
Figure 29. Projection of demand of advanced fabric for AI and substrate

Demand (m meter)	2025E	2026E	2027E		CAGR
Low Dk / gen 1	90.5	131.4	152.4		30%
Low Dk / gen 2	5.9	59.9	139.2		387%
Low CTE	6.7	18.1	33.6		124%
Q-glass	1.2	16.0	38.3		471%
Total demand of AI-fabric	104.3	225.3	363.4		87%

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, highfrequencypcb.com, Company Reports

Figure 30. % of volume breakdown of advanced fabric for AI and substrate showing evolving demand of low Dk gen 2, low CTE and Q-glass



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, highfrequencypcb.com, Company Reports

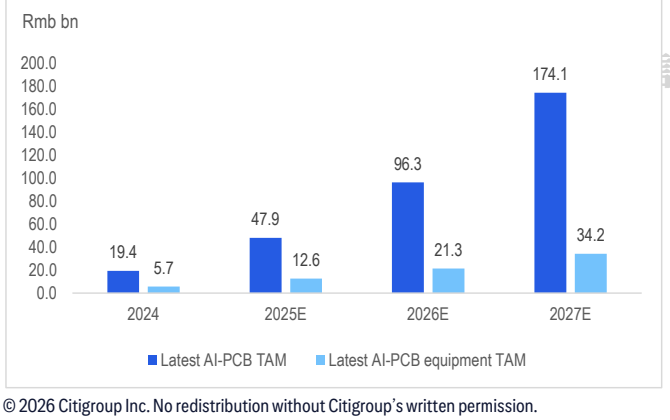
Upstream PCB equipment business expansion by PCB building capacity

We expect PCB equipment companies to benefit from stronger-for-longer demand from AI PCB makers due to not only faster AI server/data center buildups but also more Chinese PCB makers expanding capacities to win orders from Nvidia and ASIC companies. Our tech team forecasts global AI PCB TAM to grow by 101%/81% YoY to Rmb96bn/174bn in 2026/27E, and we estimate global AI PCB equipment TAM to expand at a similar pace to Rmb21bn/34bn in the next two years.

订阅研报添加微信 LCD12321Cad 04-16

Han's CNC (HC; 3200.HK / 301200.SZ), specializing in mechanical drilling equipment, is one of the biggest beneficiaries of the AI boom. We expect the company's revenue contribution from AI to increase from 30% in 2025 to ~50% in 2026E and even higher onwards as more Chinese PCB makers besides Victory Giant Technology (VGT; 300476.SZ) join the capacity expansion race in 2026 in an attempt to get more AI PCB orders. However, we prefer its parent company Han's Laser (HL; 002008.SZ) because, in addition to the AI PCB story, HL could also benefit from two years of Apple equipment revenue growth in 2026-27E driven by the launch of iPhone 18 – the first foldable phone for Apple – and iPhone's 20th anniversary in 2027 where we expect Apple to introduce not only iPhone 19 but also another model for the 20th anniversary, as it did for its 10th anniversary in 2017 – launching both iPhone 8 and X.

Figure 31. AI PCB TAM and AI PCB equipment TAM

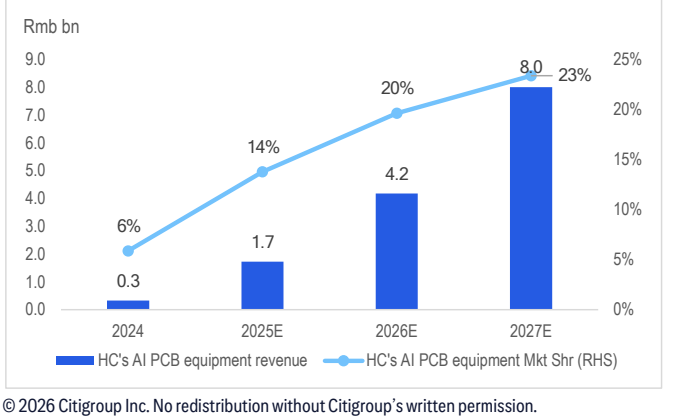


© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

*AI-PCB equipment TAM forecast is based on the increase in AI PCB TAM per year

Source: Citi Research Estimates

Figure 32. HC: AI-PCB equipment revenue and market share



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Company Reports and Citi Research Estimates

Kingboard Laminates (1888.HK)

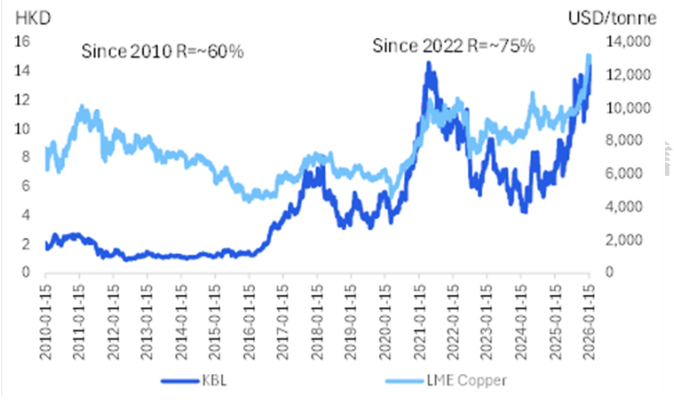
订阅研报添加微信 LCD12321Cad 04-16

2026 outlook – We expect KBL will raise capex to over HK$3bn in 2026E from HK$1bn+ in 2025 for adding capacities due to **1)** current shortage of high-end glass fabric (low Dk, low CTE and Q-glass) with total 6k tonnes of yarn by end-2026 from 500 tonnes in 2025; **2)** another shortage of AI-related copper foil with annual capacity of 21k tonnes mainly on HVLP 4 standard and low-signal-loss RTF for AI and other high-end applications, which will commence production in mid-2027; **3)** commencement of e-glass fabric with annual capacity of 70k t yarn (or 96m meters pa) during 2H26E. KBL has mostly supplied AI-fabric for **EMC and Panasonic**. With more capacity unleashed in the rest of this year, we believe KBL could gain more customers like **Doosan, Shengyi,** and **TUC**.

Riding on shortage of glass fabric and copper foil – Note KBL generated over HK$600m profit (70% rise yoy) from e-glass fabric in 2025, representing ~25% of total net profit. The strong profit growth was largely led by doubling ASP yoy. The e-glass fabric (1080 series) has surged from Rmb3.7/m in Sep to Rmb6.0/m in early 2026 and further rises to Rmb7.0/m in this month. This is because a number of e-glass fabric suppliers have shifted from e-glass into low Dk gen 1 / gen 2 for AI-related products. Apart from glass fabric, KBL also benefits from the shortage of AI-related copper foil. Thus, the processing fee for ordinary copper foil is just at Rmb20k/t compared with HVLP3 grade (for M6 PCB) at Rmb110k/t. KBL plans to further upgrade facilities to build 21k t mainly for HVLP 4 standard (for M7 PCB) with commencement from mid-2027. This is not in our model yet.

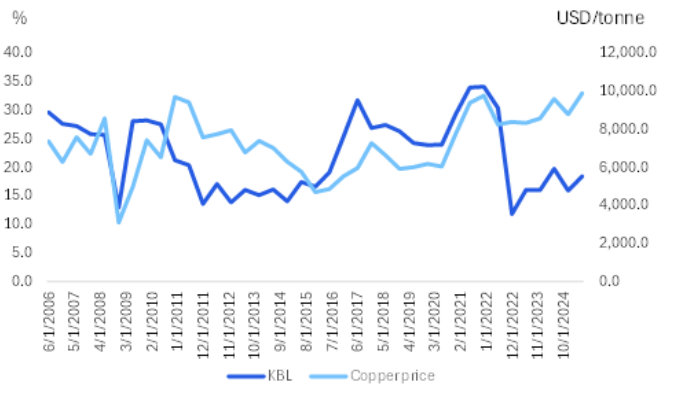
AI wave also makes a shortage of fabric weaving machines in the industry – KBL has a strong tie with Toyota for the knitting machine given the historical long-term business relationship. We believe KBL will increase the number of machines from ~3.2k units by 2k to over 5k units in the coming 20 months. In other words, almost all production capacity of Toyota will be mainly served by KBL. This should ensure KBL can cope with the current shortage of AI-fabric to customers.

Figure 33. High correlation of KBL share price and copper cost cycle



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, Wind

Figure 34. Positive correlation of KBL interim GM and half-year copper cost



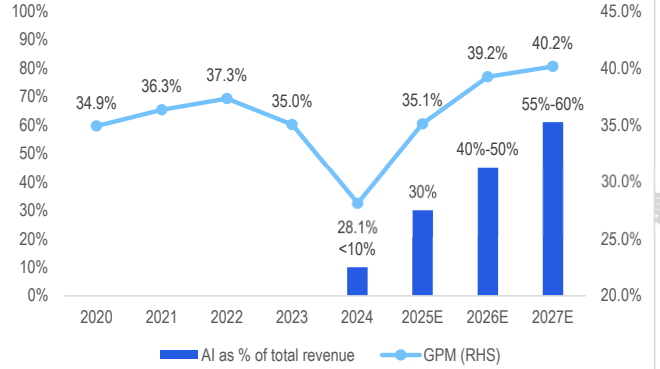
© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, Wind

Han's Laser (002008.SZ)

Riding on PCB equipment business expansion via Han's CNC - On the **PCB equipment** front, even though without significant contribution from the ultrafast laser drilling equipment, we could still see upsides to the mechanical drilling equipment demand as, besides VGT (300476.SZ), more Chinese PCB makers are expanding capacities in 2026 to win AI PCB orders from Nvidia and ASIC companies. As for the **Apple equipment**, we now forecast HL's IT revenue to jump by 60% YoY (vs. previously 40% YoY) to Rmb4.0bn in 2026E, as management recently toned up this business given stronger order wins from Apple, in particular the laser welding equipment for VC (Vapor Chamber) heat dissipation plate production. We estimate the VC cooling system-related sales would increase from ~Rmb200mn in 2025E to >Rmb1.0bn in 2026E. Mgmt. indicated that the Apple order rose by >100% in 2026TD, similar to Bozhon (688097.SS) which reported its electronic (mainly for Apple) orders grew by 89% YoY in 1Q26.

HL remains our top pick in the AI PCB equipment as **1)** it could ride on both AI PCB equipment up-cycle and two consecutive years of equipment revenue growth from Apple and **2)** HL is a cheaper AI PCB equipment play than HC. Our pecking order remains **HL (002008.SZ) > HC-H (3200.HK) > HC-A (301200.SZ).**

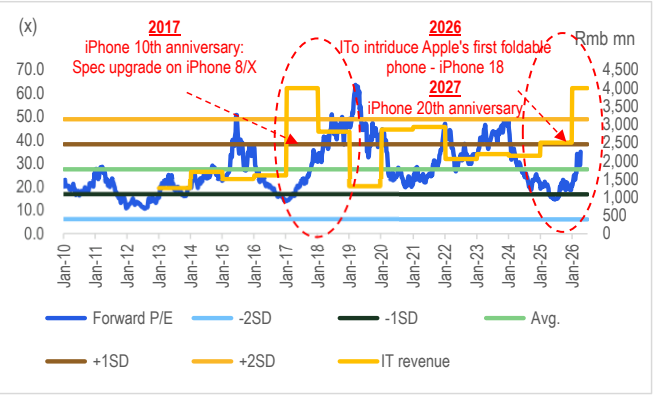
Figure 35. HC: AI PCB equipment revenue % vs. GPM



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Company Reports and Citi Research Estimates

Figure 36. HL: Forward P/E trends vs. IT (Apple) revenue



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Company Reports and Citi Research Estimates

Shengyi Tech (600183.SS)

Shengyi Tech will print 2025 results on 24 April but has released the preliminary results 2025 with revenue / net profit surging 39% / 92%. This implies the 4Q25 net profit of Rmb886m soaring 142% yoy. However, this was still slightly lower than previous midpoint guidance of Rmb902m.

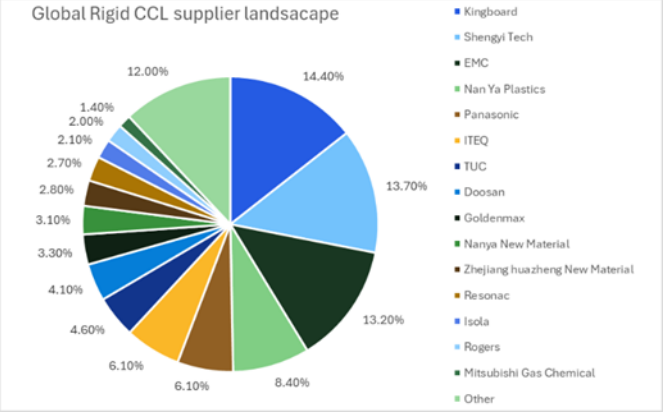
The only Chinese certified supply for M9 PCB on NVDA supply chain – We are still confident of Shengyi delivering earnings growth of 30%+ this year even after the profit nearly doubled in the last year thanks to **1)** maiden shipment of Rubin by using M9 CCL; **2)** start of ASIC customers like **AWS, META, Google** this year; **3)** GM expansion on copper cost upcycle and better mix towards AI-CCL. We estimate the GM of AI-CCL at 40%+ compared with blended GM of CCL segment at 27% this year in our estimation.

Upcoming key catalysts – **1)** Amid the backdrop of AI-infra boost, the company will release details in early 2026 about its 5-year plan for capacity growth; **2)** current orders for 1Q26 (>10m sheets/month) in excess of capacity (~8.5m sheets/month), which implies GM likely to beat on better mix upgrade in 1Q26; **3)** Besides the NVDA supply chain, Shengyi has recently developed projects on ASIC basis for **AWS, Google, META**, etc., per Shengyi mgmt., which will likely bear fruit in 2026 in our view; **4)** Shengyi GM expansion cycle should move in line with current copper price surge. Note Shengyi's share price has 50% correlation with copper cost since 2010 or rose to 77% since 2022; **5)** Apart from continued copper cost surge, Shengyi's GM will continue to expand to reach all-time high in 2026 thanks to increasing AI-CCL % exposure given AI-CCL GM being well above blended average. We expect AI-CCL to account for >15% total vol in 2026E from ~10% in 2025.

New plants update — Shengyi operated capacity of ~8m sheets CCL per month in last year. The company is expanding two plants in Jiangxi and Thailand. Jiangxi plant with monthly capacity of 1.2m sheets has recently commenced and would cater for non-AI CCL products. Thus, Shengyi can leave more capacity at Dongguan to manufacture AI-CCL products. The company does not see capacity constraints for the AI boom as it takes a short while to switch capacity from non-AI CCL to AI CCL. Additionally, its Thai plant with monthly capacity of 0.7m sheets will kick off during 1Q26. The Thai plant will mainly focus on auto, datacenter server and substrate. Mgmt expects slow ramp-up in the Thai plant with expectation of low

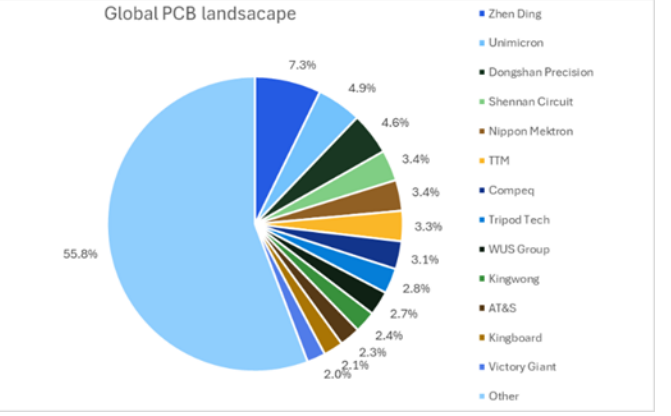
profitability or even a small loss as the cost structure is not competitive there compared with China. Thai plant mainly serves the China +1 strategy for certain customers. All in all, we expect monthly capacity to increase by ~20% from 8.0m sheets / mth in 2025 to ~9.6m sheets / mth by end-2026 thanks to the new Jiangxi plant and facilities upgrade at the Suzhou plant (addition of 300-400k sheets/mth).

Figure 37. Global Rigid CCL landscape in 2024 – Top 5 accounted for >55% of global share



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, Prismark, Company Reports

Figure 38. Global PCB landscape in 2024 – Top 5 accounted for 23-24% of global share



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, Prismark, Company Reports

Embodied AI Chain (Hengli > UBTech > LD)

We reiterate our constructive view on the EAI (Embodied AI) sector and deem 2026 as a year of mass production for both leading Chinese and foreign humanoid robot makers. As with our previous industry checks (China Humanoid Robot - What's New from Citi 2025 Industrial Tour: Likely Exponential Production Growth in 2026), our recent talks with companies in the humanoid robot supply chain confirmed that the leading US humanoid robot maker is accelerating the supply chain build-up and has finalized the design of the latest humanoid robot (Gen 3) by February 2026 and will ramp up the production by July or August 2026, with initial capacity requirement of 1,000 humanoid robot/week and the first application will be in its NEV factories. This US humanoid robot maker will expand its weekly capacity to 3,000 units.

In China, the leading harmonic reducer supplier **Leader Drive (688017.SS)** believes that **1)** total humanoid robot production volume could at least double or grow exponentially in 2026 given key humanoid robot customer's aggressive production guidance and **2)** there could be 10 humanoid robot companies which are able to produce >1,000 units of humanoid robots in 2026. Meanwhile, leading Chinese humanoid robot makers' IPOs (e.g., Unitree's A-share IPO and Zhiyuan/AgiBot's H-share IPO) could further accelerate the development of the entire industry and boost the sentiment for humanoid robot plays.

However, as almost all humanoid robot makers have not been able to generalize certain specific tasks, we believe that the majority (>50%) of the humanoid robots produced will be deployed in the humanoid robot or EAI data collection factories, to collect the real data and capture physic laws. Recent comments from the mgmt. of UBTECH Robotics (9880.HK) echo our view as mgmt. mentioned that the company will strengthen the cooperation with both industrial clients and data collection centers to collect the "**real data**." Meanwhile, UBTECH also officially

guided up its 2026 humanoid robot shipment guidance from 2,000-3,000 units previously to 5,000 units.

While China lacks the most advanced GPU and data centers to provide strong computing power to the humanoid robot sector, China has advantages in manufacturing hardware and components and collecting rea data at lower costs. In addition, the well-established manufacturing industry in China could offer humanoid robot companies a wide variety of industrial applications for them to train their humanoid robots.

订阅研报请加微信 LCD123321Cad 04-16

Figure 39. Advantages in humanoid robot development: China vs. US

	China	US
Hardware manufacturing	√ (low cost)	
Real data collection	√ (low cost and various applications)	
Industry scale-up	√ (complete supply chain)	
Policy and subsidies	√	
Human labor replacement		√ (high labor cost)
GPU and computing power		√

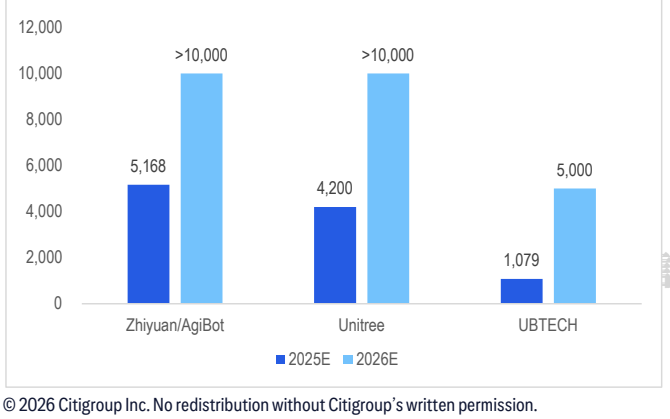
© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research

We are particularly positive on the leading US humanoid robot maker's component suppliers mainly because it could deploy its humanoid robots in its NEV factories, without external orders needed. Our humanoid robot pecking order is **Hengli Hydraulic (601100.SS) > UBTECH Robotics (9880.HK) > Leader Drive (688017.SS)**, as we apply a "**barbell strategy**" in this space, i.e., buy either key component supplier with limited humanoid robot exposure but strong core business or OEM with the highest revenue contributed from the humanoid robot business.

订阅研报请加微信 LCD123321Cad 04-16

Figure 40. Leading Chinese humanoid robot makers' production guidance



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company

Figure 41. Chinese humanoid robot makers that target >1k humanoid robots in 2026

Company name
Zhiyuan/AgiBot
Unitree
UBTECH
Beijing Humanoid Robot Innovation Center
Leju Robotics
Fourier
EngineAI
MagiBot
Xpeng
Xiaomi

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company

Figure 42. Key humanoid robot component suppliers

Key Component	Tesla (TSLA.O)' Potential Suppliers	UBTECH's (9880.HK) Suppliers	AgiBot/Zhiyuan's Suppliers	Unitree's Suppliers
GPU	Nvidia (NVDA.O) Tesla - SOC (TSLA.O)	Nvidia (NVDA.O)	Nvidia (NVDA.O)	Nvidia (NVDA.O)
CPU	Arm (ARM.O)	Intel (INTC.O)	Intel (INTC.O)	
Harmonic Reducer	Leader Drive (688017.SS) Sling (301550.SZ) Kedali (002850.SZ) HDS (6324.T) Nidec (6594.T)	Leader Drive (688017.SS)	Leader Drive (688017.SS)	
Planetary Reducer		NEWSTART (unlisted)	ZhongDa Leader (002896.SZ)	ZhongDa Leader (002896.SZ)
Modified RV Reducer for Waist	Shuanghuan (002472.SZ)			
Planetary Roller Screw	Schaeffler (SHA0n.DE) Hengli Hydraulic (601100.SS) Seenpin (unlisted)			
Frameless Torque Motor for Arm	Kollmorgen (unlisted) Moons' Electric (603728.SZ)	Kinco (688160.SS)	Fulling Motor (unlisted) Kinco (688160.SS) Wolong (600580.SS)	
Brushless Motor for Wrist	Zhaowei (2692.HK / 003021.SZ) Johnson Electric (0179.HK)			
3D Vision System	Tesla (TSLA.O)	Orbbec (688322.SS)	Orbbec (688322.SS)	Orbbec (688322.SS)
Battery		BYD / FinDreams (1211.HK)		
6-axis Force Sensor		Kunwei Tech (unlisted) Sri Sensor (unlisted)		
Dexterous Hand - Coreless Motor	Veichi (688698.SS) Johnson Electric (0179.HK)	Zhaowei (2692.HK / 003021.SZ)		
Dexterous Hand - Micro Ball Screw	Rongtai (603119.SS) Seenpin (unlisted)	Zhengyu (300953.SZ)		
Dexterous Hand - Drive Module	Rongtai (603119.SS) Johnson Electric (0179.HK)			
Dexterous Hand - Assembly	Everwin (300115.SZ) Seenpin (unlisted) Johnson Electric (179.HK) Tuopu (601689.SS)			
Rotary (Linear) Actuator Integration Tier-1 Supplier for Joints	Sanhua (2050.HK/002050.SZ) Tuopu (601689.SS)			
Head cover and glass	Lens (6613.HK/300433.SZ)			

**Seepin cooperates with XCC (603677.SS) and JW Precision Machinery (300984.SZ) on the humanoid robot business*

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

*Suppliers to the humanoid robot companies are not limited to above-mentioned companies.

Source: Citi Research, Company Reports

订阅研报添加微信 LCD123321Cad 04-16

Figure 43. Key takeaways from humanoid robot supply chain companies we visited recently

Company	Ticker	Main humanoid robot product and market position	Humanoid robot guidance
Hengli	601100.SS	Hengli is highly likely to penetrate the leading US humanoid robot maker. Mgmt.'s optimism is primarily based on the fact that Hengli uses lathe machines instead of grinding machines to reduce the production cost of planetary ball screws (for humanoid robot's legs) significantly. We are also confident regarding the competitiveness of Hengli's planetary ball screw since its R&D team originally came from a leading European ball screw and bearing maker which is now owned by Schaeffler (SHA0n.DE).	Hengli has supplied the planetary roller screw samples to the leading US humanoid robot maker for, not only legs, but also for upper arms and forearms. The number of planetary ball screws used on a humanoid robot could be up to 14, based on the US customer's requirements, and the initial guidance is to supply planetary roller screws for 20k humanoid robot production.
Leader Drive	688017.SS	**1)** China's leading harmonic reducer maker for both industrial robot and humanoid robot, **2)** key Chinese humanoid robot customers are AgiBot/ Zhiyuan and UBTECH (9880.HK); and **3)** it is expanding its humanoid robot product portfolio into planetary ballscrew, micro motor, linear actuator, etc.	~20% of 9M25 revenue, or Rmb81-82mn, was from the humanoid robot products. Mgmt. believes that humanoid robot product shipments could at least double in 2026 given key customers' aggressive production guidance and is very confident that LD will be the main harmonic reducer source to the leading US humanoid robot maker.
UBTECH	9880.HK	**1)** Walker S2 for industrial applications are UBTECH's main humanoid robot products; **2)** one of Chinese humanoid robot makers with the fastest commercialization progress; and **3)** accumulated humanoid robot order reached Rmb1.4bn by the end of 2025.	Humanoid robot shipments reached 1,079 units in 2025 and mgmt. guided 5,000 units of shipments in 2026. We forecast its humanoid robot revenue to account for ~60% of total revenue in 2026E from 36% in 2025.
Orbbec	688322.SS	**1)** Its 3D vision product Gemini is on Nvidia's recommended list; **2)** 3D vision market share in China's service robot is ~70%; **3)** key competitors are RealSense (unlisted) and Apple's PrimeSense; and 4) Orbbec's chips are designed by themselves and manufactured by TSMC (28/ 45nm).	Humanoid robot revenue could grow from a couple of Rmb10mn in 2025 to Rmb100mn-200mn in 2026.
Rongtai	603119.SS	**1)** Rongtai recently acquired a micro ball screw company KSS Ballscrew to penetrate into the leading US NEV maker's humanoid robot supply chain; **2)** a humanoid robot of the US customer requires 30-40 units of micro ballscrews, with dollar content of ~Rmb20k; and **3)** it is building a factory in Thailand since having plants outside of China is a requirement to win the firm orders from the US customer.	Rongtai will prepare enough micro ball screw capacity to support the leading US humanoid robot maker to produce 3,000 humanoid robots/ week by 1Q26. Mgmt. indicated that the company will expand its capacity to 5,000/ week by the end of 2026 and believe that its micro ball screw share for the key US customer's dexterous hands is >50%.
Veichi	688698.SS	Mgmt. guided 10%-20% revenue and earnings growth, similar to the target on the latest ESOP. Main competitors are Yaskawa (6506.T) and Taiwan Syntec (7750.TW)	Veichi has both Chinese and foreign customers. For the foreign client, Veichi confirmed that they are a micro motor supplier for the dexterous hands. In China, their clients include Zhiyuan/AgiBot, UBTECH, Fourier, Chinese NEV OEMs and smartphone companies, etc. The products that Veichi offers are rotary joints – servo motor, control unit, and other components except reducer, coreless motor, frameless motor,

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company Reports

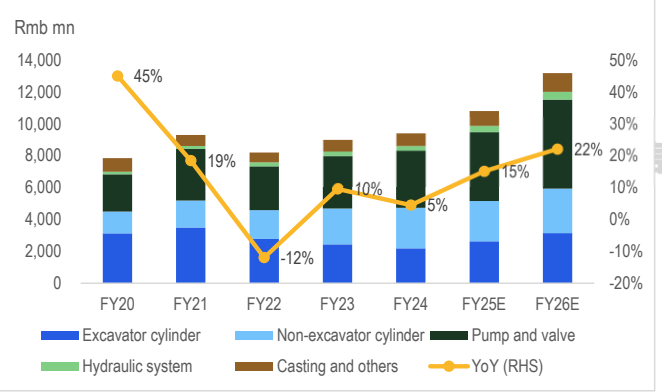
Hengli Hydraulic (601100.SS)

Mgmt. indicated that Hengli has penetrated a leading US humanoid robot maker, supplying planetary roller screws for humanoid robot's legs and arms. The number of planetary ball screws used on a humanoid robot could be up to 14, as per the US customer's requirements; the production will be carried out in Hengli's Mexico plant and delivery will be around Jul-26. We expect the humanoid robot to account for 1%-2% of Hengli's total revenue in 2026E. Regarding the core business, mgmt. expects 1Q26 to be a strong quarter with YoY GPM expansion driven by strong excavator component business despite ~Rmb80mn FX loss due to US$ depreciation against the Rmb. Based on mgmt.'s guidance that excavator component revenue could grow by ~40% YoY in 1Q26, we estimate Hengli's total revenue to increase by 35% YoY to Rmb3.3bn in 1Q26. Even with ~Rmb80mn FX loss, we expect Hengli's net profit could still grow strongly by 30% YoY to Rmb801mn in 1Q26. (see Hengli Hydraulic (601100.SS): Full Run Rate at Excavator Component Plants Indicates Strong Start of 2026; Reiterate Buy).

Our TP of Rmb135 is based on ~52x 2026E P/E, set at its average P/E (since 2021) + 2.0x SD. We apply the P/E multiple to reflect Hengli's better core business outlook and imminent humanoid robot exposure. With ~46x/~39 2025/26E P/E, Hengli is still one of the cheapest humanoid robot component plays in China.

订阅研报请扫微信 LCD13331Cad 04.16

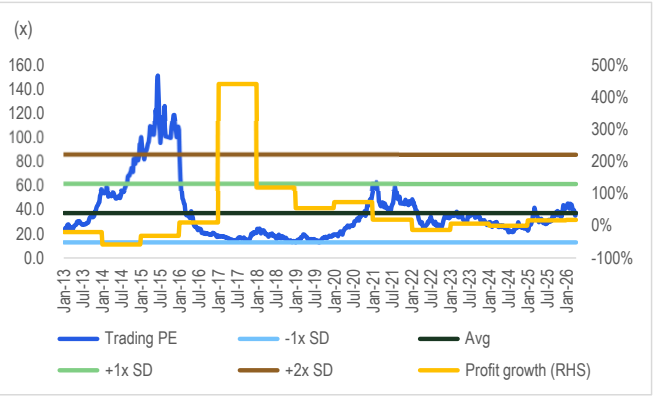
Figure 44. Hengli: Revenue by product and YoY growth



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Company Reports and Citi Research Estimates

Figure 45. Hengli: Forward P/E trends vs. earnings growth



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Company Reports and Citi Research Estimates

UBTECH Robotics (9880.HK)

We maintain our Buy rating on UBTECH Robotics (9880.HK) for not only its first-mover advantage in the humanoid robot industry but also its better-than-expected delivery and order guidance. Mgmt. officially **guided up 2026 shipments of humanoid robot Walker S series from 2,000-3,000 units to 5,000 units** and indicated that the target GPM for 2026 is 43%-45%. Meanwhile, mgmt. emphasized that UBTECH will focus more on: **1) real data collection** by strengthening the cooperation with both industrial clients and data collection centers and **2)** developing so-called "World Model," which could enable humanoid robots to understand the physics laws in order to generalize different tasks. We estimate that UBTECH's humanoid robot revenue to Rmb3.0bn/4.6bn in 2026/27E, accounting for ~69%/~78% of total revenue. UBTECH may debut Walker S3 – the next generation of industrial humanoid robot which is 15% lighter and cheaper than S2 – in 2Q26. We think that the upcoming new product launch in 2Q26 could serve as its near-term positive catalyst.

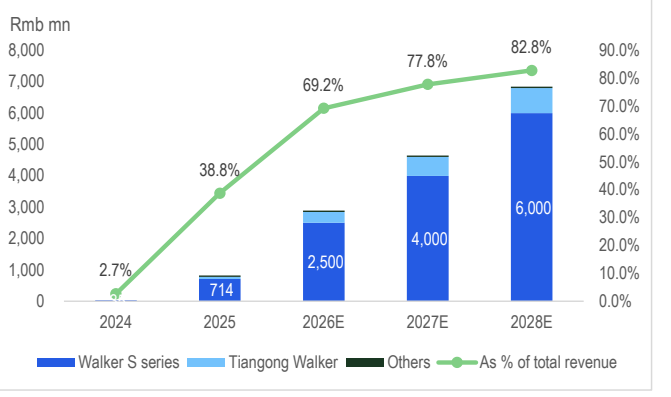
Figure 46. UBTECH: Humanoid robot orders by client, 2026TD

Buyer	Amount (Rmb mn)
Dongfeng-Liuzhou Motor	10
Dongfeng Motor (489.HK)	90
A consumer-related client	250
Miracle Automation (002009.SZ)	30
An auto-tech/auto-part company	32
Guangxi EAI Data Training and Testing Center	126
Zigong Humanoid Robot Data Center	159
Fangchenggang Humanoid Robot Data Center	264
Jiangxi Jiujiang Humanoid Robot Data Center	143
Huiyang Humanoid Robot Data Center	**60**
Hohhot EAI Center	**78**
Others	159
Total	**1,400**

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company Reports

Figure 47. UBTECH: Humanoid robot revenue and as % of total revenue, 2024-28E



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Company Reports and Citi Research Estimates

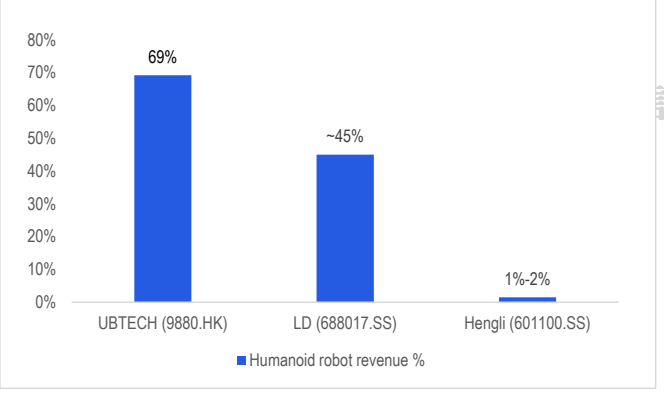
Leader Drive (688017.SS)

With NVIDIA (NVDA.O) demonstrating at CES 2026 again how its open-source platforms (e.g., Omniverse, Issac Sim, Cosmos) can help train robots in physically based virtual environments, we are more confident that humanoid robots' mass production and commercialization are around the corner, echoing mgmt.'s recent comment that Leader Drive's (LD) humanoid robot shipments could at least double in 2026. We believe LD is well positioned to benefit from the humanoid robot and physical AI opportunity in the coming years, given its leading position in the harmonic reducer industry and cooperation with leading humanoid and industrial robot makers in China and globally.

订阅研报添加微信 LCD12332Cad 04-16

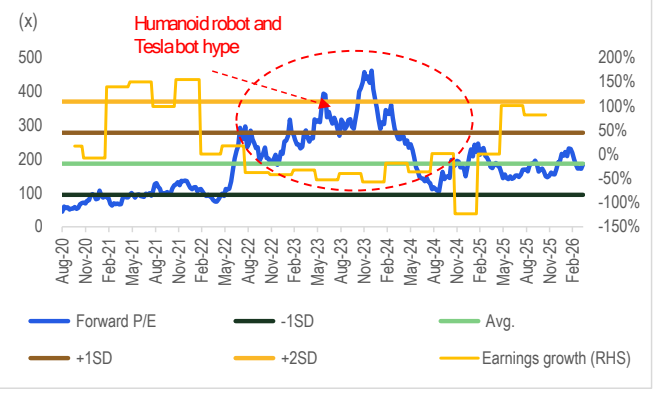
We view 4Q25E results as a near-term positive catalyst as we expect LD to report Rmb27mn net profit for the quarter, up 11.2x YoY from Rmb3mn net loss in 4Q24, driven by both humanoid robot contribution and industrial robot market share gain, especially on KUKA owned by Midea (300.HK/000333.SZ). Our earnings forecast is 17% ahead of consensus estimate of Rmb23mn. Looking into 2026, we estimate LD's humanoid robot revenue contribution will rise to 40–50% from ~20% in 9M25 as it is expanding capacity from 40k/month to 80k/month mainly for humanoid robot clients.

Figure 48. Humanoid robot revenue % and 2026E P/E for component makers



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Company Reports and Citi Research Estimates

Figure 49. LD: Forward P/E trends vs. earnings growth



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Company Reports and Citi Research Estimates

China Exports (Techtronic > Shenzhou > Stella)

We maintain our stock preference of **Techtronic > Shenzhou > Stella** on high div yield of 3-10% along with acceleration of earnings growth this year amid a stable US tariff outlook without further escalation in ASEAN production.

订阅研报添加微信 LCD12332Cad 04-16

Techtronic (0669.HK)

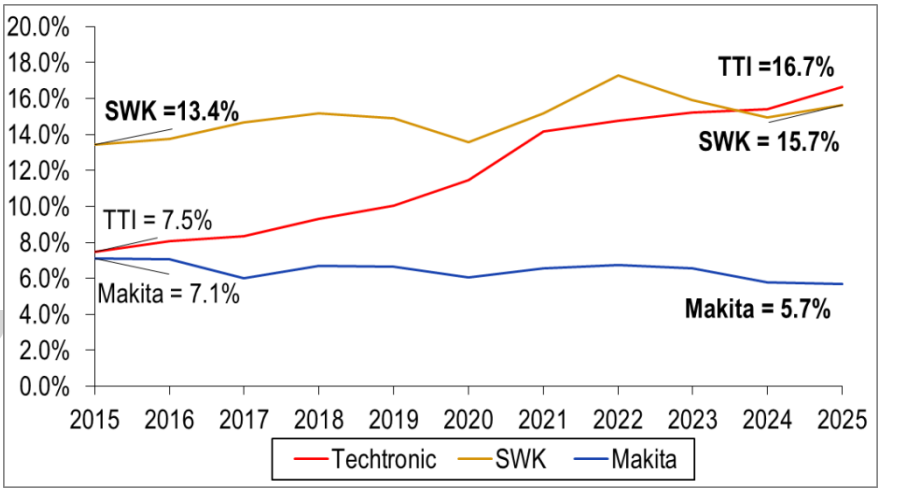
MWK will likely grow at LDD this year – We estimate 2025 rev split as ~70% on MWK, ~20% on Ryobi, ~5% on Floorcare, 1-2% on HART (US$156m), 2-3% on RIDGID/AEG power tools. Mgmt reiterated the revenue guidance of mid-to-high single digit with the breakdown of LDD on MWK and flat to LSD on Ryobi this year. This should be underpinned by hyper-growth segments like data centers and large-scale infra projects instead of resi construction. MWK grew 7.9% in local currency in 2025, but this would have been >10% (retaining a DD pace) if including those promotional items made in China. Recall the tariff was hiked to >100% in the last year, and one major customer had cancelled those orders being made in China.

Ryobi to rise at LSD this year – Ryobi segment remains challenging amid the tough housing market in the US. We hosted a joint analyst call on 3 Mar with US analyst Steven Zaccone – covering Home Depot and Lowe's. He finds that home improvement demand recovery lags by about 2 quarters housing transactions. And the growth is back half loaded this year rather than front half as a moderate price inflation to cover tariffs would take place in 1H rather than 2H. Even if our house view is for 3 Fed rate cuts this year, it would take time for Ryobi to accelerate the growth trajectory back to MSD ahead. Thus, we model LSD this year.

订阅研报添加微信 LCD123321Cad 04-16

Official target of driving EBIT margin 10% in 2027 – TTI continues to state this target of elevating EBIT margin to 10% in 2027E compared with adj 9.3% in 2026 (if adjusted for exit of HART business) or a reported EBIT margin of 8.8%. We believe this target should be highly achievable.

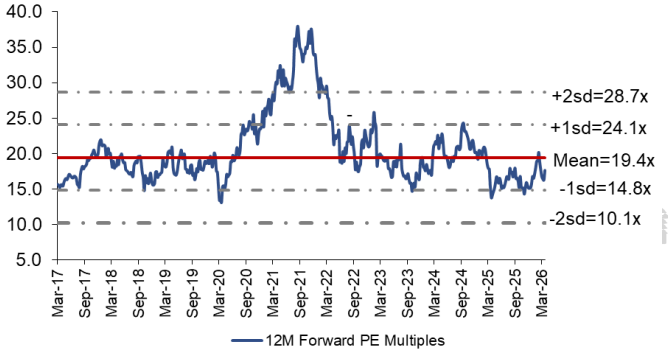
Figure 50. TTI demonstrates faster share gain than SWK on power tools during the past decade against Makita share loss



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company Reports, Statista, FMI, GlobalNewswire, Euromonitor

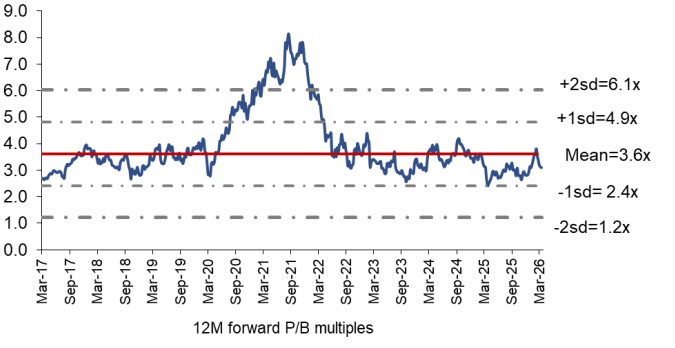
Figure 51. TTI – forward PE chart



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Wind

Figure 52. TTI – forward PB chart



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Wind

Shenzhou (2313.HK)

Following the 2025 results release, Executive Chairman bought 1.05m shares at an average price of HK$47.68 on 1 April for a total consideration of US$6.4m, per HKEx. This is the first time the Chairman has increased his stake this year, to 42.52% from 42.45%. In addition, the company bought back 0.371m shares at an average price of HK$46.79 between 31 Mar – 2 Apr for a total of US$2.2m. All these indicate to us that corporate mgmt. have high confidence in the outlook. More importantly, from our post-results investor meeting on 31 Mar, we see the company still maintains its plan of major investment in the new plant in Indonesia without deferral despite the recent softer end-demand. This means mgmt. sees high growth visibility from top customers in coming 3-5yrs. **Reiterate Buy** with stock slumping ~21% YTD to reflect soft end-demand, which looks overdone. It trades at ~11x PE and >5% div yield.

订阅研报添加微信 LCD123321Cad 04-16

Capacity plan in coming years – Capex was increased to Rmb3bn for 2025 from a prior target of Rmb2bn even though 2025 results missed a bit. This mainly served for continued capacity expansion in **Indonesia** (ph 1 for garment plant), fabric mill in **Vietnam** (Tay Ninh Province), a **Cambodia** garment plant, and automation upgrade in an **Anhui** garment plant. The Indonesia plant will be the next major plant after China, VN, Cambodia and will commence operation from mid-2027. We estimate the Indonesia plant will account for as much as 20% of total output in 5yrs. This is on top of continued capacity expansion in Vietnam and Cambodia. The Indonesia project remains intact without deferral despite the current softer end-demand. This is because the company still has high confidence of wallet share win among top customers.

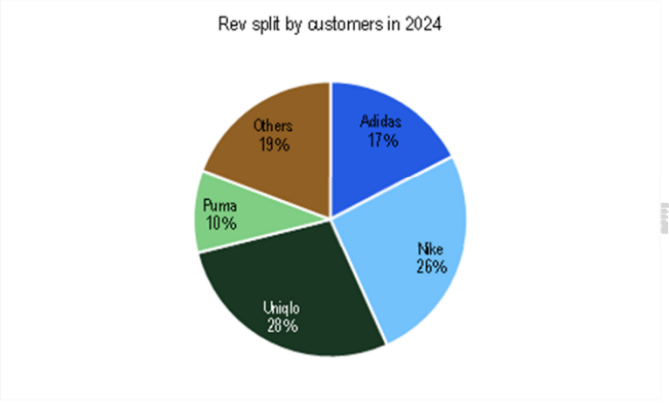
订阅研报添加微信 LCD123321Cad 04-16

MSD capacity growth in 2026 – Mgmt guides capacity growth of MSD this year, which is slightly slower than our prior forecast of 6-8%. Adidas and Uniqlo are the two strongest growth drivers, which should outgrow most of the other customers. The company should also gain from a new customer on yoga from this year (with order flow skewing in 2H26), which is a comparable price point with **LuLu.** We see **Nike** orders as positive with a modest pace despite Nike guiding a revenue decline in the coming quarter. Chinese customers like **Anta** would likely have positive growth of HSD. Shenzhou generated only ~0.8% of total 2025 sales from the Mid-East. By far, the company doesn't see order slowdown from the conflict. But if the oil price surge is higher for longer, this would impact the consumption sentiment in the US/EU, which is not in our model yet.

订阅研报添加微信 LCD123321Cad 04-16

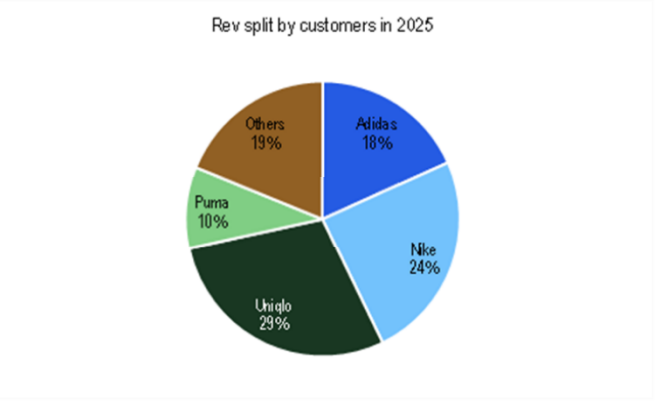
GM outlook; back to 30%? GM remains the key swing factor for results and valuation, in our view. One of the most common Qs from investors is whether the company would revive the GM back to 30% levels, i.e., the historical mean for a decade before COVID. The company plans to improve GM going forward through: **1)** further lift in the value chain of product mix like more functional sportswear, **2)** upgrade of management systems to cope with global brands to elevate AI for mgmt. of suppliers, inventory, logistics, etc. – which should prompt faster industry consolidation, **3)** increasing shift of % output towards overseas away from China given overseas plants carry higher GM than China, we believe the % of China to total output will likely fall to 25% in coming 5 years from current 40%+; **4)** further raising automation levels.

Figure 53. Shenzhou rev split by customers in 2024



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, Company Reports

Figure 54. Shenzhou rev split by customers in 2025



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, Company Reports

Stella (1836.HK)

Painting another 3-yr plan of HSD net profit CAGR during 2026-28 - Mgmt's three-year plan guides to HSD NP CAGR, but FY26 specifically guides to MSD NP growth. Thus, the company expects earnings growth acceleration at the back end of the upcoming 3-year period.

Earnings inflection point in FY26 - Positives for FY26 include efficiency gains at Solo, Philippines reaching breakeven, and some tariff normalization. These are largely cannibalized by: **1)** startup drag from three new factories in 2H26; **2)** deepening China factory deleverage; and **3)** fading interest income tailwind. We model $146m for FY26, consistent with MSD guidance after earnings slump of high teen in FY25. A margin step-up comes in FY27-28E as workers reach standard efficiency and brands start allocating higher-complexity, higher-ASP styles to the new factories.

China Infra (Zoomlion > Hangcha > CSCI)

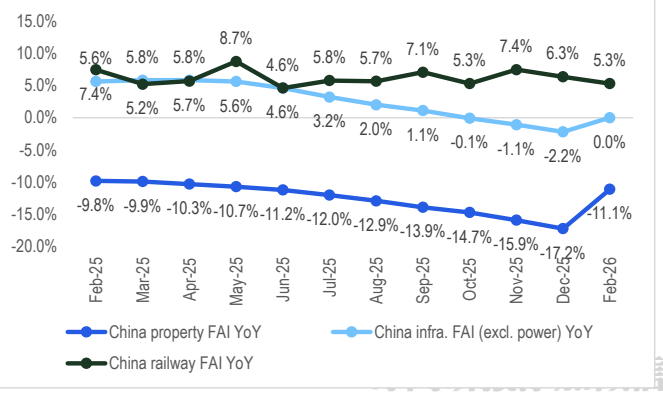
2026 is the first year of China's 15th Five-Year Plan (2026-2030), which should focus more on building a **modernized infrastructure system** centered on "new infrastructure" (digital, green tech) for high-quality growth, integrating it with upgrades in industry, digital connectivity, energy, and strategic emerging sectors, moving beyond just GDP targets to structural empowerment and global connectivity via initiatives such as the *Belt and Road Initiative*. Key infrastructure areas include **digital networks (5G/6G, data centers), AI-driven systems, smart grids, energy storage, green transport, and essential public utilities**, with significant private-sector involvement encouraged and a focus on regional development and international cooperation.

We prefer construction machinery and building material over construction services for stronger balance sheet & cashflow and higher gearing to any infra stimulus measures to counter China weaker economies during 2H25, particularly for infra and retail sales. China's construction machinery demand seems to be continuously recovering into 2026 driven by replacement demand, the electrification trend, and China government's equipment replacement/trade-in subsidy policy. Among major machine types, we are more positive on mid-to-late cycle products such as crane and concrete machinery than early cycle product excavator. As China's excavator

demand resumed positive YoY growth in Mar-24, the crane machinery industry did not return to the growth trajectory until 1H25. Thus, we expect stronger growth momentum in 2026 onwards for mid-to-late cycle products than for early cycle product like excavator even though Mar-26 shipment numbers surprised the market on the upside. In addition, we note that China's tower crane utilization rate has improved YoY since Nov-25, indicating that the property-dependent machinery may be bottoming out soon. Potential demand upsides could be driven by China's mega projects Yarlung Zangbo River Hydropower and Xinjiang-Tibet Railway but more significant demand stimulus from them should be in 2027-28. Our machinery OEM pecking order is **Zoomlion (1157.HK) > Sany-H (6031.HK) > Sany-A (600031.SS)**.

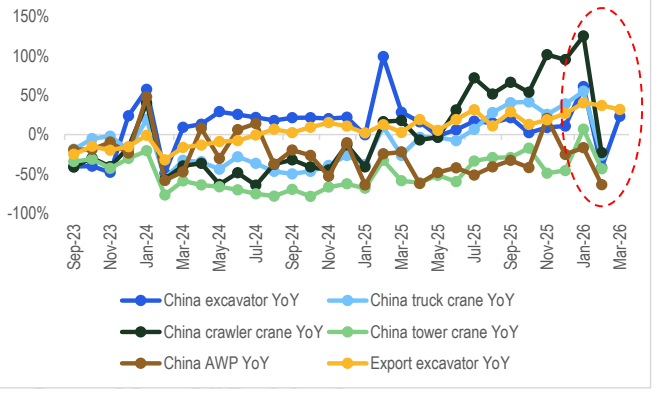
订阅研报请加微信 LCD123321Cad 04-16

Figure 55. China FAI growth by segment



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, China NBS

Figure 56. YoY: Key construction machinery shipments in China



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, CCMA

China forklift sector should generally have a more resilient growth than construction machinery thanks to the electrification trend and steady demand growth by logistics expansion including e-commerce, cold chain, express delivery. Per CAAM, the domestic vol grew 12.6% yoy to 906.8k units and exports increased 13.4% yoy to 545k units in 2025. We expect domestic industry vol growth of high-single-digit this year while export growth remains low double digit. We **prefer Hangcha (603298.SS) as Buy over Anhui Heli (600761.SS) as Sell**.

Within the infrastructure-related sectors, we are relatively concerned with the rail equipment sector as the historical patterns somehow suggest that the railway FAI tends to be weak in the first year of every FYP (Five-Year-Plan). We are also worried that the CEO reshuffle at CRRC (1766.HK) could impact its operation to a certain extent in 2026. **We rate Times Electric (3898.HK) as Neutral and downgraded CRRC (1766.HK) to Sell** post weaker 2025 results and conservative 2026 guidance. In the construction service sector, we rate **Sell on CCCC A-share (601800.SS)**. We **prefer CSCI (3311.HK) as top pick in the railway and infra construction sector** backed by >7% div yield along with more promising growth from HK Northern Metro project and China via MIC rising penetration in T1 cities.

订阅研报请加微信 LCD123321Cad 04-16

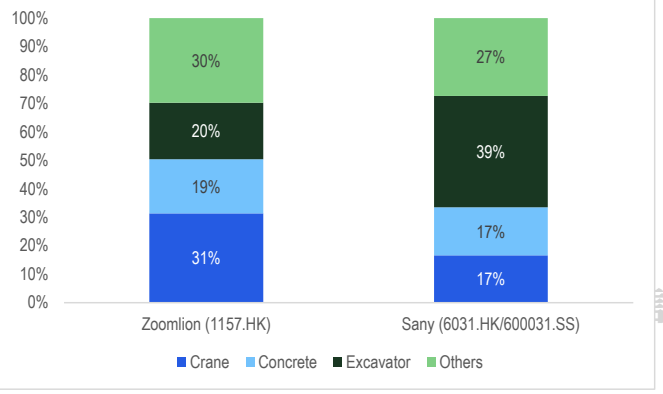
Zoomlion (1157.HK)

Our Buy thesis for Zoomlion is: 1) **Better growth momentum in 2026E for late-cycle products –** As China's excavator demand resumed positive YoY growth in Mar-24, crane machinery in China did not return to a growth trajectory until 1H25. Thus, we expect stronger growth momentum in 2026E onwards for mid-to-late

cycle products such as crane and concrete machinery than for excavators. Note crane and concrete machinery combined likely could account for 52% of Zoomlion's 2026E revenue, vs. 31% for Sany. 2) **Mining equipment and AWP additional growth drivers for 2026 –** Similar to Sany, Zoomlion also focuses on mining equipment, especially for overseas markets like ASEAN, Africa, and South America. For 2026, management guided +30% YoY revenue growth for earthmoving and mining equipment combined and expects double-digit YoY AWP revenue growth due to EU anti-dumping tariff-led low base in 2025. Overall, we expect Zoomlion to deliver 27% YoY earnings growth in 2026E, outpacing Sany's 24%. 3) **Likely cash dividend increase –** Given a positive earnings outlook and substantial OCF improvement (up 128% YoY in 2025), Zoomlion raised its cash dividend by 33% YoY to Rmb0.4/share in 2025, implying ~5% dividend yield. We don't rule out further payout hike given the fundamentals.

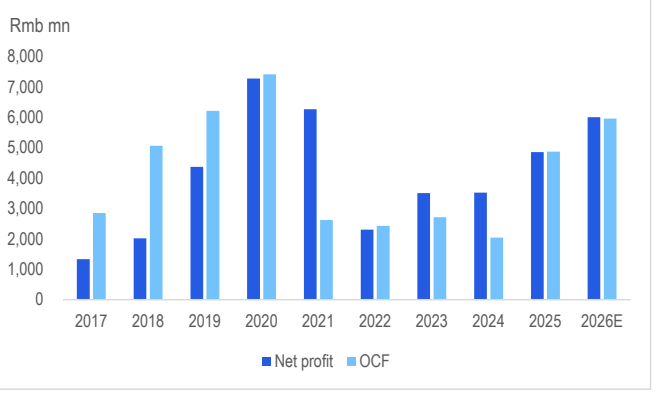
订阅研报请加微信 LCD2022Cui 04.16

Figure 57. Revenue breakdown by product: Zoomlion vs. Sany, 2026E



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Company Reports and Citi Research Estimates

Figure 58. Zoomlion: Net profit vs. OCF, 2017-26E



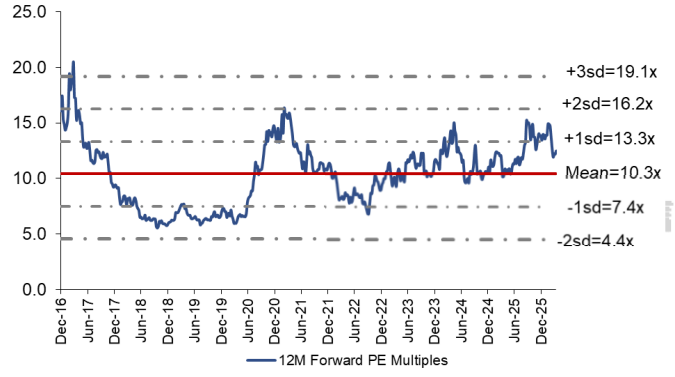
© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Company Reports and Citi Research Estimates

Hangcha (603298.SS)

2026 outlook: We model revenue and net profit growth of 12% and 15% respectively for 2026. This is backed by 1) overseas growth of 20-30% this year through the sales / rental centers in Europe, Vietnam, N America – altogether accounting for >40% of total sales, 2) warehouse automation – the shift from traditional forklift into AGV AMR thru integrated hardware, software and services to raise the higher density of storage at warehouse, 3) the electrification trend accounting for ~75% of total 1H25 sales. The company anticipates a long-term all-electric strategy focusing on lithium-ion / high-voltage platforms.

Synergy creation from acquisition of Guozi – Hangcha completed the acquisition of a 99.23% stake in Guozi Robotics in July 2025. We believe this should create strong synergies. This move provides Hangcha with a high-end AGV and intelligent warehousing portfolio, which we believe will be cross-sold into its large existing client base. The acquisition should accelerate Hangcha's product portfolio on provision of intelligent logistics, particularly for AGV (Automated Guided Vehicle) and AMR (Autonomous Mobile Robot) facilities.

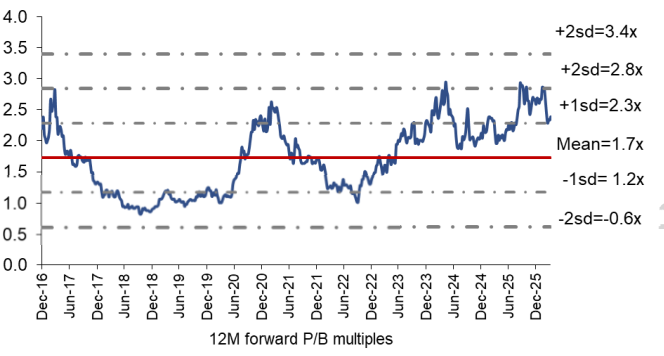
Figure 59. Hangcha – forward PE chart



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Wind

Figure 60. Hangcha – forward PB chart



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

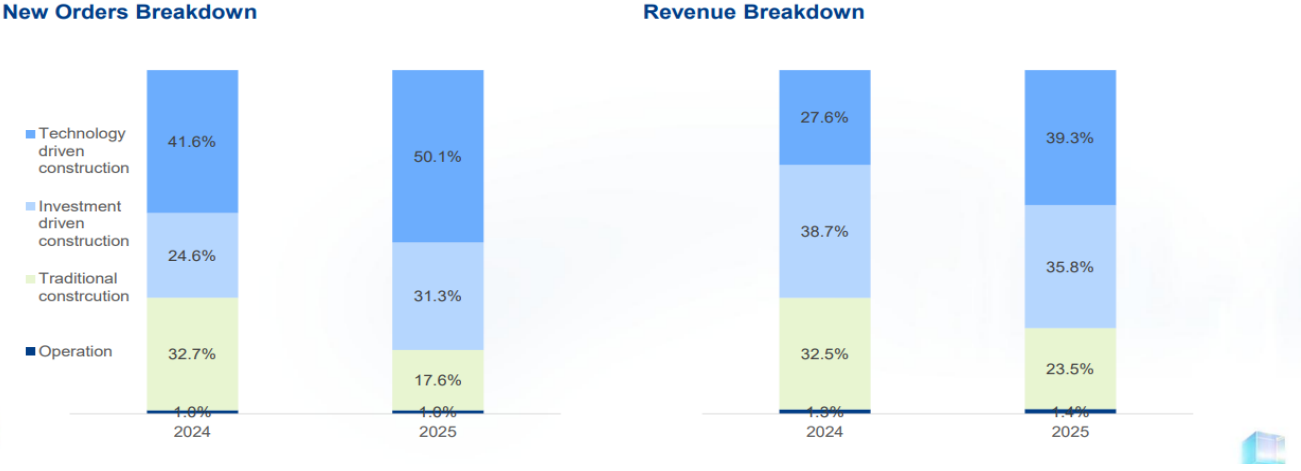
Source: Citi Research, Wind

CSCI (3311.HK)

2026 outlook – We expect CSCI will deliver flat new order of RMB170bn for 2026, comparable to 2025 level. In terms of breakdown by region, we expect order book from HK will rise in 2026 against merely 26% in 2025 while the % from China should drop accordingly. Note CSCI secured cumulative orders from Northern Metropolis in HK in excess of HK$100bn already. The momentum should sustain in coming years. Conversely, CSCI will be more cautious to focus on 6 core provinces (Fujian, Zhejiang, Anhui, Jiangsu, Shandong, Guangdong, etc.) and 4 T1 cities (BJ, SH, GZ, SZ) whose local govts show stronger balance sheets to underpin infra projects. CSCI would strike a better balance of govt payment on projects and order growth.

Strategy shift in HK market on Northern Metropolis opportunity – Despite the order shift towards HK this year, the company will work on increasing investment project in Northern Metropolis with likely GM of double digits compared with conventional MSD for cash basis on govt project. We expect the company should take back all payments for a couple of years after the project completion so that CSCI would ensure the IRR of those project is highly sufficient per internal target.

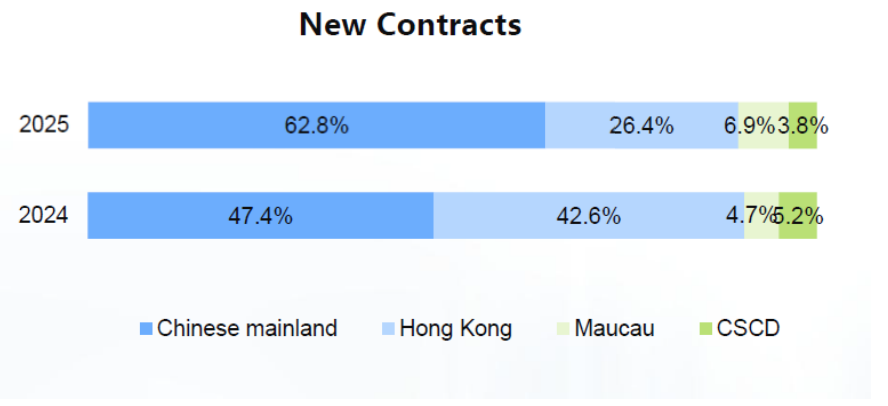
Figure 61. CSCI rev and new order split by segment in 2024 and 2025



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company Reports

Figure 62. CSCI new contracts breakdown by regions



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, Company Reports

MIC remains a core growth driver – MIC (modular integrated construction) remains the key growth driver. We believe Hailong MIC (the subsidiary) has achieved over Rmb4bn in orders last year. Mgmt expects the order growth on Hailong to be double digits this year, which remains a key driver for the group. The company also plans for a spin-off for IPO during the 15th Five-year plan period as long as the scale is sizeable enough.

订阅研报添加微信 LCD123321Cad 04-16

Links to our top picks in AI-infra and Embodied AI chain

Kingboard Laminates Holdings (1888.HK) - Stock Rally on Persistent ASP Inflation of Glass Fabric

China PCB Equipment - Raise TPs and Earnings on Better AI PCB and Apple Equipment Outlook; Han's Laser Top Pick

Shengyi Technology (600183.SS) - Preliminary Results Mean 4Q25 a Slight Miss, But Still Promising Growth Outlook for 2026E

Hengli Hydraulic (601100.SS) - What's New from Citi's 2026 Innovation Trailblazers Corporate Day

UBTECH Robotics (9880.HK) - Guide Up 2026 Humanoid Robot Shipment to 5,000 from 2,000-3,000; Raise TP to HK$190

订阅研报添加微信 LCD123321Cad 04-16

Leader Drive (688017.SS) - More Details of Establishing Humanoid Robot Joint JV with Minth in the US

Techtronic (0669.HK) - Minimal Impact from Makita Acquisition of Panasonic Power Tools

Shenzhou Int'l (2313.HK) - Chairman Started to Raise Stake This Year

Stella International (1836.HK) - NP MSD in FY26, Inflection Deferred to FY27-28

Zoomlion Heavy Industry (1157.HK) - Strengthening Cashflow Management in a Benign Demand Environment; Reiterate Buy

Hangcha Group (603298.SS) - 3Q Results Slightly Beat; U/G to Buy

China State Construction (3311.HK) - Div Yld of >7% with Improving Balance Sheet; Top Pick in China Infra Con Sector

订阅研报添加微信 LCD123321Cad 04-16

订阅研报添加微信 LCD123321Cad 04-16

订阅研报添加微信 LCD123321Cad 04-16

Biggest Rating, TP Changes After 2025 Results

What's changed on rating / TP after 2025 results – Within our industrial universe, the greatest degree of TP upgrade comes from the AI-infra sector including **KB Laminate, Han's Laser, Han's CNC** largely due to more-than-expected influx of AI capex on PCB equipment and ASP inflation on upstream CCL material. In addition, we also upgraded TP significantly by 22% on **UBTech** for stronger demand of new robot model Walker S series (world's first humanoid robot for autonomous battery swapping). By contrast, the greatest degree of TP downgrade comes from **CRRC** to Sell from Neutral on dimmer rail equipment capex, **Nine Dragons** to Neutral from Buy on expectations of pulp margin contraction amid more new supply.

订阅研报添加微信 LCD123321Cad 04-16

订阅研报添加微信 LCD123321Cad 04-16

Figure 63. FY25 Results Beats vs. Consensus (summaries taken from published notes)

No.	Company	Ticker	Rating	Analyst	Old target price	Latest target price	2026/27E earnings revision	Key takeaways (Citi's take summary)	Rating change
1	Yue Yuen	0551.HK	Buy	Eric Lau	HKD16.3	HKD21	N/A	YY just printed 2025 results being slightly better-than-expected. We thus edge up our earnings forecast by 1% in 2026E and flat for 2027E. But we revise up our TP to HK$21 from HK$16.3 on 11x PE for 2026E based on -0.5SD to mean rather than prior -1SD thanks to better-than-expected operating efficiency. The SG&A cost was squeezed to 16.7% in 2025 from 17% in 2024 and 18.3% in 2023.	
2	UBTech	9880.HK	Buy	Jamie Wang	HKD155.00	HKD190	We raise our 2026/27E revenue forecasts by 36%/52%	Post the stronger-than-expected 2025 results, mgmt. officially guided up 2026 shipments of humanoid robot Walker S series from 2,000-3,000 units to 5,000 units and indicated that the target GPM for 2026 is 43%-45%.	
3	Han's CNC	3200.HK/ 301200.SZ	Buy	Jamie Wang	HKD142 /Rmb160	HKD160 /Rmb186	+2026/27E earnings forecasts by 38%/45%	Han's CNC (HC) reported the full set of 2025 results on 30 March, with net profit increasing by 174% YoY to Rmb824mn in 2025, slightly below the mid-point of the preliminary results. 2025 GPM expanded by 7.0pp YoY to 35.1%, beating CitiE of 32.5% and consensus estimate of 31.5%, which we believe was mainly due to rising revenue exposure to AI PCB equipment, especially in 4Q25 where HC's GPM expanded by 13.8pp YoY/ 8.2pp QoQ to 42.2%, 8.0pp ahead of CitiE of 34.2%. We expect positive share price reaction to the strong 2025 results, especially for HC-H (3200.HK) which is not only cheaper than HC-A (301200.SZ) but also underperformed HC-A recently.	
4	Wuxi Lead	470.HK/ 300450.SZ	Buy	Jamie Wang	HKD/Rmb62.0	HKD/Rmb62.0	N/A	Wuxi Lead (Lead) reported the full set of 2025 results today (30 March). Net profit jumped by 4.5x YoY to Rmb1.56bn in 2025, similar to the mid-point of the preliminary results, on 22% YoY revenue growth and 79% YoY decline in asset impairment in 2025 despite 1.7pp YoY GPM contraction.	
5	KBH	0148.HK	Buy	Eric Lau	HKD45.00	HKD48.00	2026E core earnings cut by 11%; 2027E raised by 4%	2025 net profit surged 170% to HKD4.40bn on strong investment gains; however, core net profit slid 4% YoY due to margin pressure on the PCB segment. Upcoming major investments in AI upstream materials and chemicals are expected to drive maiden contributions in 2027.	
6	KBL	1888.HK	Buy	Eric Lau	HKD28	HKD30	We revise up our EPS forecasts by 7-11% for 2026-27E	No text-based 2025 earnings update available; target price data derived strictly from historical charts.	
7	Shennan Circuit	002916.SZ	Buy	Eric Lau	Rmb281	Rmb320	Raise 2026-27E earnings by 24-30%	Shennan printed 2025 results with net profit growth of 75% to RMB3.276bn which beat the mid-point guidance RMB3.248bn of preliminary results. On the analyst call, we learned Shennan should enjoy higher GM expansion from the BT substrate segment. We thus raise our earnings estimates by 24-30% in 2026-27E and add our 2028 forecast. Our TP lifts by 14% to RMB320 based on 43x PE for 2026E at +1.5sd over mean.	
8	Raycus Fiber Laer	300747.SZ	Neutral	Jamie Wang	Rmb13.8	Rmb34	Increase our 2026/27E earnings forecasts by 65%/74%	Post Raycus' 2025 preliminary results, which showed 24% YoY earnings growth in 2025E, we upgrade it from Sell to Neutral and increase our 2026/27E earnings forecasts by 65%/74% to reflect the laser source demand improvement and the company's continuous OPEX discipline.	↑
9	Lee & Man Paper	2314.HK	Buy	Eric Lau	HKD4.20	HKD4.30	Raised by 12-13% for 2026-27E	2025 net profit surged 47.8% YoY to HKD1.94bn, coming in better than expected. Citi maintained a Buy rating and raised the target price driven by moderate capacity increases, potential consumption stimulus in China, and expectations for continued gross margin expansion.	
10	Jingce	300567.SZ	Neutral	Jamie Wang	Rmb90	Rmb145	We revise up our 2026/27E earnings forecasts by 59%/54%	Post 2025 preliminary results, we revise up our 2026/27E earnings forecasts by 59%/54% and lift our TP by ~61% to Rmb145 to reflect the improving panel equipment demand and strong semi-equipment (metrology) outlook.	
11	Advanced Micro-Fabrication Equipment Inc	688012.SS	Buy	Jamie Wang	Rmb354	Rmb418.00	Raised 2026/27E earnings forecasts by 15%/18%.	2025 preliminary results beat estimates due to investment income. Management has a robust 2026-27E outlook driven by expanding product coverage (etching and film deposition) and aggressive capacity expansions by leading Chinese memory companies.	

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company Reports

订阅研报添加微信 LCD12321Cad 04-16

Figure 64. In-Line FY25 Results vs. Consensus (summaries taken from published notes)

Company	Ticker	Rating	Analyst	Old Target Price	Latest Target Price	Earnings revision for 2026E and 2027E	Key takeaways (Citi's take summary)	Rating change
CTI	300012.SZ	Buy	Eric Lau	Rmb24	Rmb24	N/A	CTI 2025 top-line grew 8.8% yoy to Rmb6.621bn, whereas net profit increased by 10.4% yoy to Rmb1.016bn. This was in line with our forecast of Rmb1.021bn and preliminary 2025 results. In terms of quarterly net profit growth trend, it has been consistently accelerating from 2.8% in 1Q25 yoy, then 8.9% in 2Q and 11.2% in 3Q, and even faster in 4Q, at a pace of 17.1%.	
Zoomlion	1157.HK	Buy	Jamie Wang	HKD10.2	HKD10.8	2026/27E earnings 3%/3%	AI-related copper foil. Thus, the processing fee for ordinary, / 128% YoY to Rmb4.87bn, Rmb20k/t compared with HVLP3 grade (for M6 PCB) at Rm s accelerating receivable further upgrade facilities to build 21k t mainly for HVLP 4 et mt. expects China domestic demand to continue its recovery supported by several mega-projects and central government's 1.6tn budget. As for overseas, mgmt. guided that agricultural, mining, and AWP should improve more significantly given not only low base but also the fact that the tariff issue should be resolved.	
CRRC Times Electric	3898.HK	Neutral	Jamie Wang	HKD42.50	HKD42.50		2025 results were largely in line, with EPS up 14% YoY and revenue up 15% YoY to Rmb28.7bn on emerging equipment growth. However, rail transit equipment growth slowed to 8% YoY and power semi profitability worsened.	
Stella	1836.HK	Buy	Alice Cai	HKD16.50	HKD16.50	FY26 volume guided flat; prior estimates cut 8.1% (26E) and 9.0% (27E)	FY25 net profit of USD137m (-20% YoY) was broadly in line with expectations, though GPM slightly missed due to ramp-up inefficiencies and idle labor. Flat FY26 is guided as efficiency restoration and tariff normalization set up a recovery in FY27-28.	
Crystal	2232.HK	Buy	Eric Lau	HKD8.5	HKD8.2	Reduced by 6-8% during 2026-27E	2025 revenue rose 6.9% YoY and net profit rose 12% YoY, largely in line with expectations. Management guided mid-to-high single-digit capacity growth, and the company is building a new footprint in Egypt to avert geopolitical risk.	
COSCO Shipping	1919.HK	Buy	Kaseedit Choonnawat	HKD12.10	HKD15.90	Raised 2026E by 3%; Cut 2027E by 6%	The stock was upgraded to Buy based on positive risk/reward payoffs into Mid-2026. The industry's capacity discipline is holding rates above breakeven, and the company has strong downside support from its net cash position.	↑
Techtronic	0669.HK	Buy	Eric Lau	HKD125.00	HKD150.00	Flat for 2026E; 2027E EPS raised by 2.4%	2025 revenue and net profit grew 4.4% and 6.8% respectively, a mild miss vs consensus. Raised TP to HKD150 on growth acceleration outlook for 2026E and announced a USD500m share buyback program.	

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company Reports

订阅研报添加微信 LCD123321Cad 04-16

订阅研报添加微信 LCD123321Cad 04-16

Figure 65. FY25 Results Misses vs. Consensus (summaries taken from published notes)

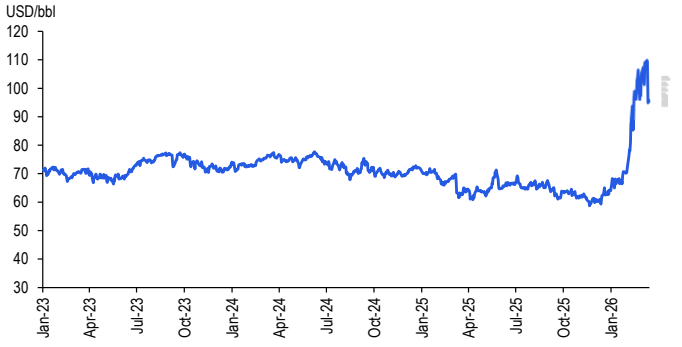
No.	Company	Ticker	Rating	Analyst	Old target price	Latest target price	2026/27E earnings revision	Key takeaways (Citi's take summary)	Rating change
1	Chervon	2285.HK	Sell	Eric Lau	HKD14.5	HKD17.5	Cut by 20-22% for 2026-27E	Core profit fell 42% YoY to USD78.45mn; 2H25 revenue dropped 25% YoY due to US tariffs and Vietnam plant relocation.	
2	Huali	300979.SZ	Buy	Alice Cai	Rmb63.77	Rmb63.77	N/A	FY25 preliminary results showed a modest miss to our estimates: revenue of RMB 24,980mn (+4.1% YoY) and NP of RMB 3,207mn (-16.5% YoY), missing Citi forecasts by 1% and 5.5% respectively.	
3	Hongfa Tech	600885.SS	Neutral	Jamie Wang	Rmb33	Rmb28	Cut our 2026/27E earnings forecasts 11%/8	We cut our 2026/27E earnings forecasts 11%/8 to reflect Hongfa's GPM pressure caused by skyscraping silver and copper prices, which combined account for >30% of COGS.	
4	Anhui Heli	600761.SS	Sell	Eric Lau	Rmb15.2	Rmb14.2	Cut 2026-27E earnings by 15-17%	Heli printed weaker-than-expected 2025 results. We also add 2028 forecasts. We prefer Hangcha (Buy) over Heli (Sell) on China Forklift.	
5	Shenzhou	2313.HK	Buy	Eric Lau	HKD94	HKD75	Cut 2026-27E earnings by 11-13%	Shenzhou printed 2025 results with net profit, and core profit (excl FX and disposal gain) was down 6.7% yoy to Rmb5.825bn and up 4.9% yoy to Rmb6.080bn. We model 3-yr CAGR of 10% thru 2028E	
6	Weixing	002372.SZ	Neutral	Alice Cai	Rmb11.8	Rmb11.8	+FY26/27E revenue 6%/5% offset by higher opex, NP broadly unchanged	FY25 revenue/NP fell 14%/22%, with 4Q deteriorating to -19% YoY– a sharp step-down from the -10% run-rate in 9M and the weakest exit in recent years. GPM held at 41% and grew 3%, but negative operating leverage drove the NP decline well ahead of revenue.	
7	Haitian International	1882.HK	Buy	Eric Lau	HKD30.00	HKD27.50	Trimmed by 8% for 2026-27E	2025 revenue grew 10% YoY, while net profit grew 7% YoY (a slight miss). The 1Q26 order book is expected to slide due to muted PMI and recent oil price surges impacting consumer spending, but the dividend payout was raised to 39%.	
8	China Railway Group	0390.HK	Buy	Eric Lau	HKD5.1	HKD4.8	Cut our 2026-27E earnings estimates by 13-20%.	Net profit dropped 18% yoy to Rmb22.9bn vs. our forecast of Rmb25.0bn. CRG also set a lower-than-expected guidance for 2026E top line which would fall 7% yoy vs. our prior forecast of flat. In the China Infra Construction sector, we prefer CSCI > CRG for higher dividend yield, execution and higher ROE	
9	Fenbi	2469.HK	Sell	Alice Cai	HKD30.00	HKD0.7		We downgrade Fenbi to Sell from Neutral – reflecting Stock Connect removal, margin compression from front-loaded AI investment, and an unproven monetization path.	↓
10	Topband	002139.SZ	Sell	Eric Lau	Rmb10	Rmb8.5	We cut our earnings estimates by 39-46%	Topband printed 2025 results today. 2025 revenue rose 5.5% to Rmb11.082bn, which is slightly below our forecast of Rmb11.368bn. 2025 results disclosed the start of operating loss since 4Q25 which may not reach breakeven in the near term.	
11	China Iesso	2128.HK	Buy	Eric Lau	HKD6.10	HKD6.50	Raised by 11-12% during 2025-27E	1H25 results beat expectations slightly. Non-residential drivers (municipal, agriculture, overseas) have strong visibility and will account for over half of total revenue. Top-pick list on the China Infra sector.	
12	Sany	600031.SS/ 6031.HK	Buy	Jamie Wang	HKD31/Rmb28	HKD29.0/Rmb26	Tuned down 2026/27E earnings forecasts by 1%	We believe that the slight bottom-line miss - 3%/4% below Citi E/Consensus - was mainly due to ~Rmb580mn FX loss and higher tax rate due to higher overseas profit contribution.	
13	CRRC	1766.HK	Sell	Jamie Wang	HKD7.3	HKD4.50	Cut 2026/27E earnings forecasts by 13%/15%.	2025 net profit of Rmb13.2bn missed consensus by 11% due to weaker revenue and higher asset impairment. Management guided a conservative 2026 with high-speed MU tenders likely lower than 2025, while a recent management reshuffle further reduces earnings visibility.	↓
14	Shenzhen Int'l	0152.HK	Sell	Alice Cai	HKD9	HKD8	Reduced by 11-13% during 2026-27E	We believe the Huanan land reserve story– which has driven the stock over the past two years – is past its peak: both remaining blocks (03 and 01) are smaller than Block 02 (FY25), marking a step-down in LP upgrade EBIT.	↓
15	CSCI	3311.HK	Buy	Eric Lau	HKD14.00	HKD12.00		2025 net profit dropped 26.5% YoY to Rmb1.204bn, missing consensus.	
16	CIMC Enric	3899.HK	Buy	Jamie Wang	HKD12.50	HKD12.50	Lowered 2026/27E EPS by 6%/5% on dilution.	2025 net profit grew 4% YoY to Rmb1.14bn, missing consensus by 9% due to a 31% YoY drop in chemical business revenue. Management expects a recovery in 2026.	
17	China East Education	0667.HK	Buy	Alice Cai	HKD7.8	HKD7.8	N/A	FY25 adjusted NP +50.9% YoY to RMB 792M. Revenue of RMB 4,616M (+12.1%) beat both our 10% est and mgmt's guide. Adjusted NP missed our RMB 822M est by 3.6%, but the shortfall is entirely non-operational– tax and treasury, not margin.	
18	Horizon Construction	9930.HK	Buy	Eric Lau	HKD1.80	HKD1.50	Cut 2026E by 72% and 2027E by 44%	2025 net profit fell 84% YoY to Rmb147m, which was in line with its profit warning.	
19	Gaotu	GOTU.N	Sell	Alice Cai	USD1.94	USD1.59	N/A	Target price lowered to USD1.59; detailed text-based takeaways were not present in the summary table.	
20	Nine Dragons Paper	2689.HK	Sneutral	Eric Lau	HKD9.5	HKD8.8	cut FY26/27/28E earnings by 9/12/7%	We trim TP to HK$8.8 from prior HK$9.5, based on the same 0.7X PB. Stock has rallied by ~50% YTD which should have fully priced in the stunning 1HFY26 results. We thus downgrade to Neutral with limited	↓
21	Shengyi	600183.SS	Buy	Eric Lau	N/A	Rmb54.00	N/A	Issued Rmb2bn convertible bond; no text-based 2025 earnings update was available in the latest provided notes.	
22	Jonhon	002179.SZ	Buy	Jamie Wang	Rmb51	Rmb51		2025 net profit could decline by 37% YoY to Rmb2.12bn, significantly lower Citi E/Bloomberg consensus by 44%/25%, respectively. The operating profit was also down 29% YoY to Rmb2.64bn, again missing Citi E/consensus.	
23	China East Education	0667.HK	Buy	Alice Cai	HKD7.8	HKD7.8		Adjusted NP +46-51% YoY to RMB 767-793M, missing our RMB 822M estimate by 4-7% on higher-than-expected costs despite revenue beating at +12% YoY.	

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company Reports

Appendix 1: Common Commodity Price Trend for Industrial Sector

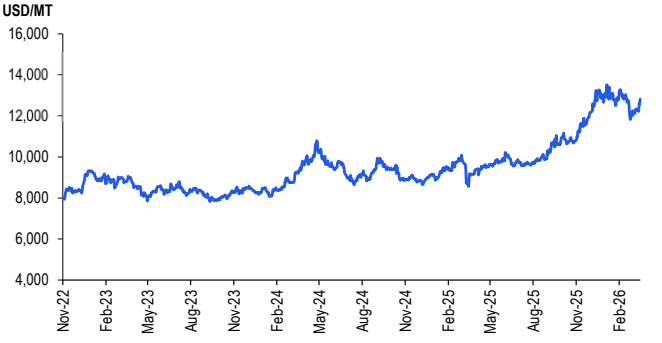
Figure 66. Oil



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

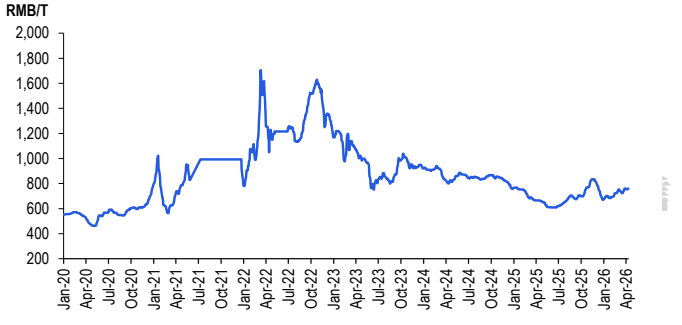
Figure 67. Copper



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

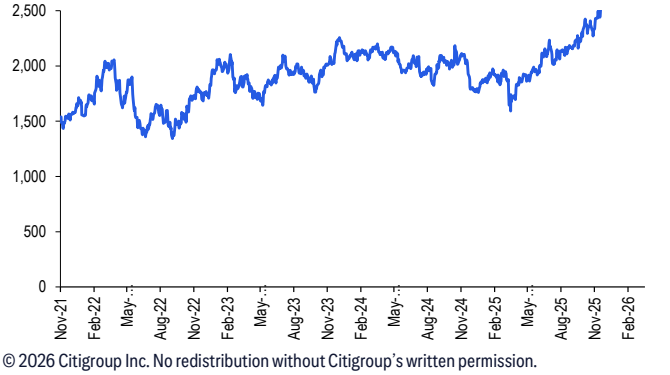
Figure 68. Aluminum



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

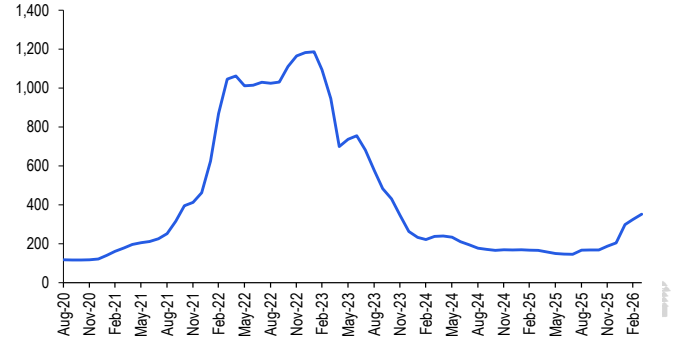
Figure 69. Steel Price Index



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

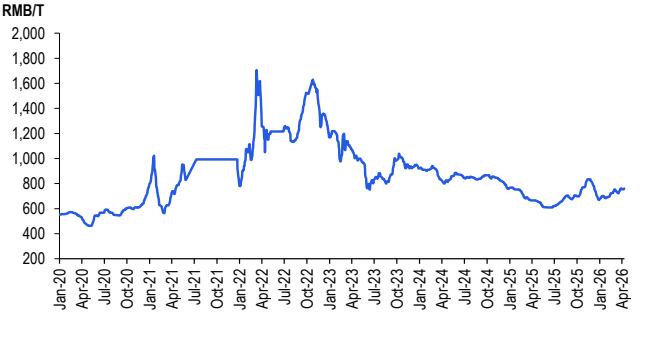
Figure 70. Lithium Price Index



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

Figure 71. Power Coal

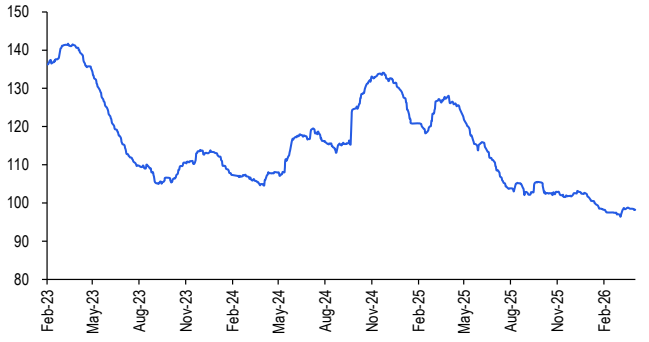


© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

Appendix 2: Building Material and Property related Growth Rates

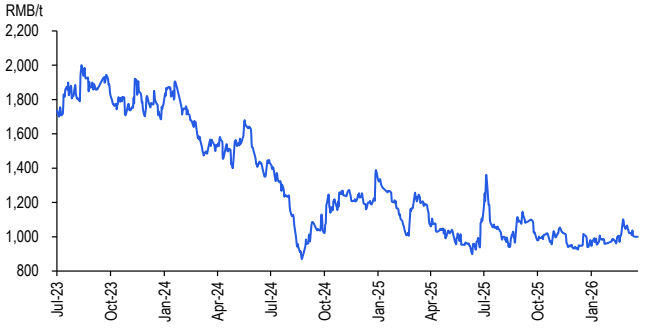
Figure 72. Cement Price Index



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Wind

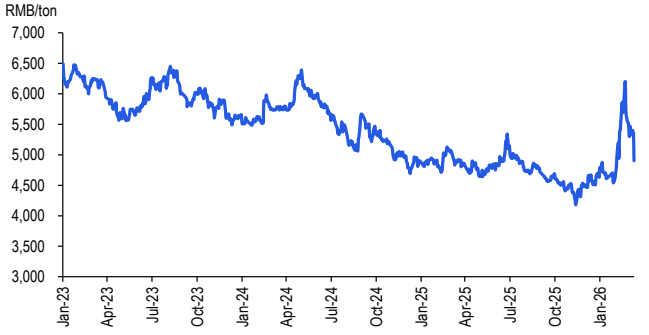
Figure 73. Glass



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Wind

Figure 74. PVC



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Wind

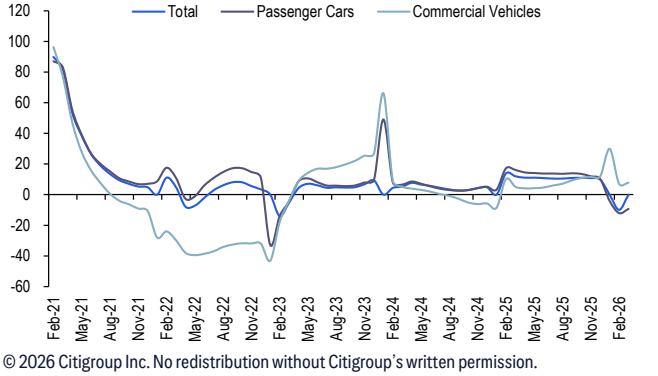
Figure 75. Property related growth yoy

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Wind

Appendix 3: Autos

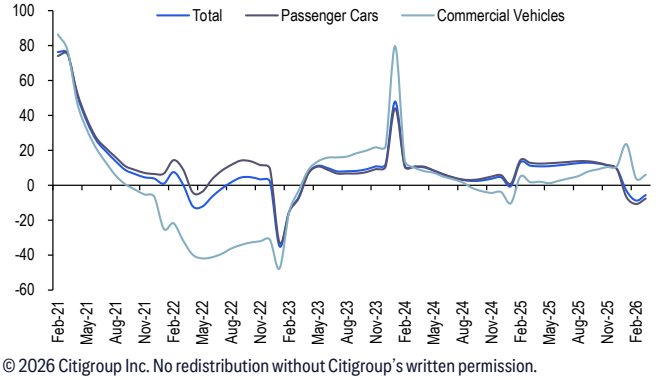
Figure 76. Auto Production YTD YoY



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Wind

Figure 77. Autos Sales YTD YoY

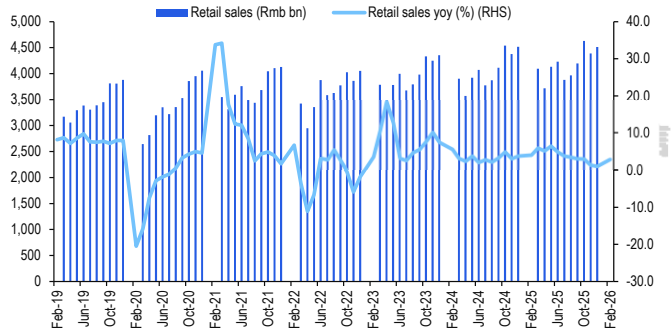


© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Wind

Appendix 5: Macro Datapoints

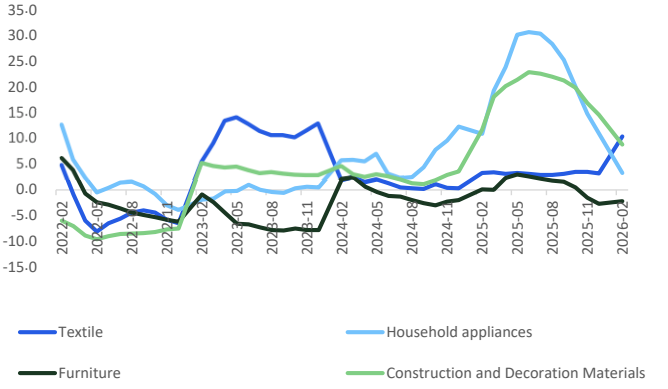
Figure 84. Total Retail Sales of Consumer Goods



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, NBS

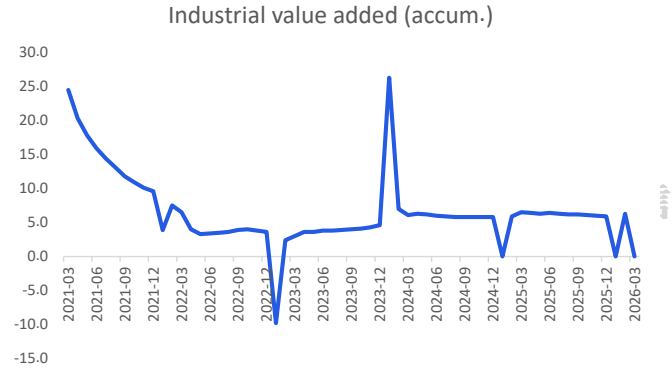
Figure 85. Retail sales YoY % change by industry



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, NBS

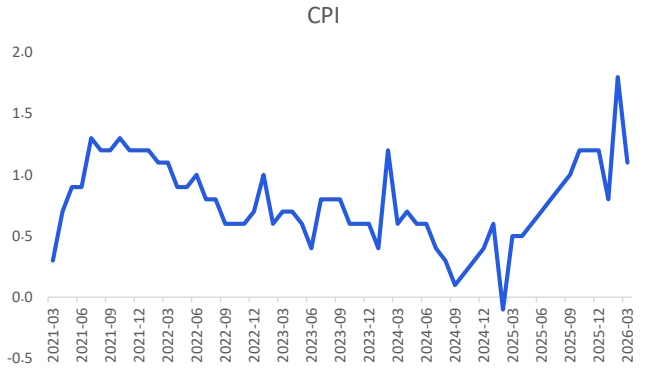
Figure 86. YTD YoY % change of industrial output



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, NBS

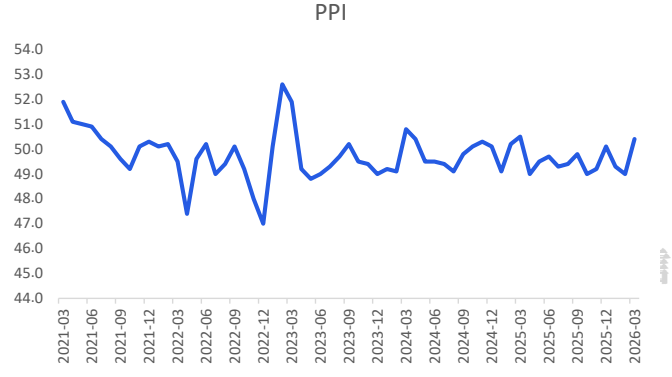
Figure 87. CPI YoY % change



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, NBS

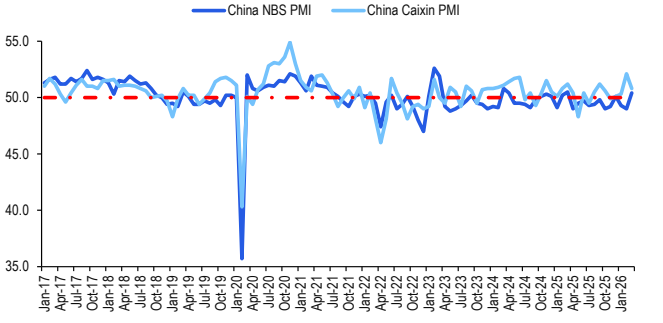
Figure 88. PPI YoY % change



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, NBS

Figure 89. PMI

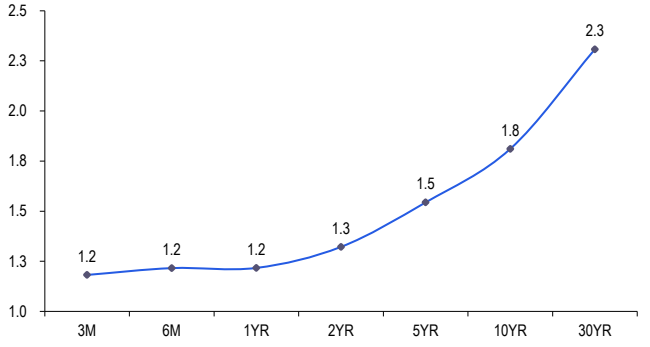


© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, NBS

Appendix 6: Market Liquidity

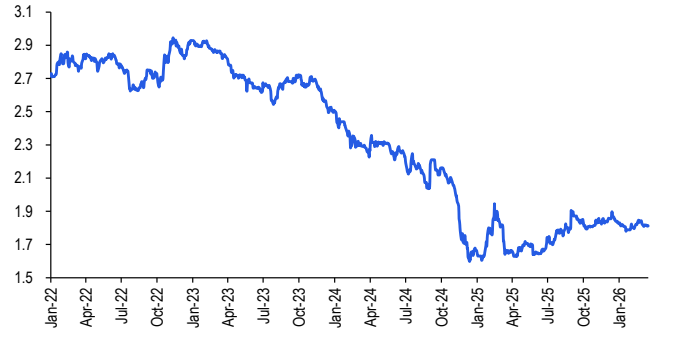
Figure 90. China Treasury Bond Yield Curve



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

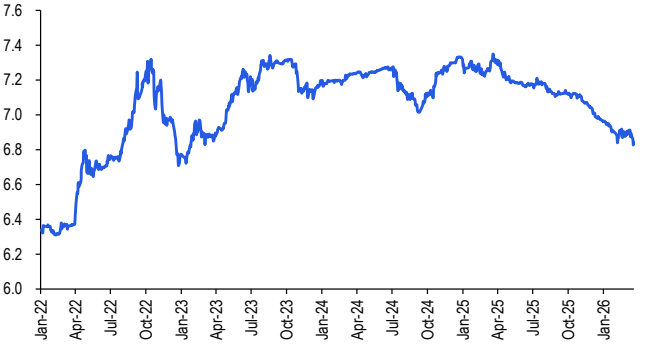
Figure 91. China Treasury Bond Yield to Maturity (%): 10-yr



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

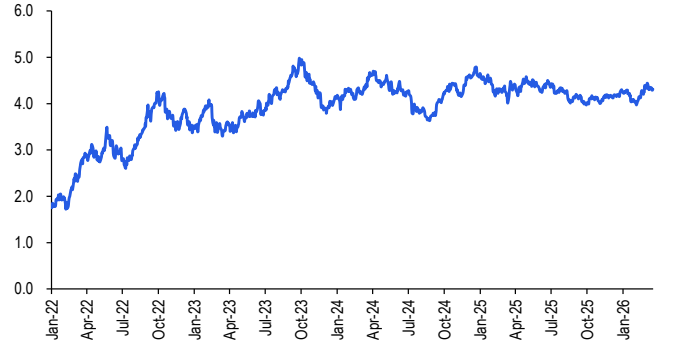
Figure 92. Spot exchange rate: USD to RMB



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

Figure 93. US Treasury Bond Yield to Maturity (%): 10-year



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

订阅研报添加微信 LCD123321Cad 04-16

Figure 94. Companies Mentioned (priced as of 15 April close for Asia-listed stocks an 14 April close for US stocks)

Company	Ticker	Mkt Cap US$ (M)	Ccy	Close Price	Target Price	Rating	P/E (x) 2026	P/E (x) 2027	EV/EBITDA (x) 2026	EV/EBITDA (x) 2027	P/B (x) 2026	P/B (x) 2027	Div yield (%) 2026	Div yield (%) 2027	Debt / equity (%) 2026	Debt / equity (%) 2027
ABB Ltd	ABBN.S	170,482	SFr	72.20	76.00	2	28.1	27.8	21.7	18.6	8.1	7.2	1.3	1.4	39.2	35.0
AccoTEST	688200.SS	5,687	Rmb	286.000	258.000	1	56.7	44.1	53.4	40.6	8.6	7.5	0.5	0.7	0.0	0.0
Adidas	ADSGn.DE	29,280	€	137.90	227.00	1	13.2	10.6	7.3	6.3	3.6	3.3	3.0	3.8	78.5	72.0
AMEC	688012.SS	29,467	Rmb	320.360	418.000	1	66.3	47.6	68.1	47.6	8.2	7.0	0.2	0.2	3.1	2.7
Alibaba Group Hldg	9988.HK	314,123	HK$	128.60	204.00	1	20.2	14.1	9.1	6.2	1.8	1.7	0.8	0.8	17.3	16.3
Alibaba Group Hldg	BABA.N	314,157	US$	131.35	205.00	1	20.4	14.3	9.1	6.2	1.8	1.7	0.8	0.8	17.3	16.3
Alphabet	GOOGL.O	4,014,542	US$	332.91	405.00	1	28.4	23.9	19.4	15.3	7.3	5.6	NA	NA	8.3	6.4
Amazon.com	AMZN.O	2,678,024	US$	249.02	285.00	1	24.7	20.2	12.5	9.8	5.1	4.1	NA	NA	23.0	18.2
AHHL	600761.SS	2,286	Rmb	17.490	14.200	3	12.3	11.3	6.4	5.4	1.3	1.2	3.0	3.2	9.1	10.7
Anta Sports Products	2020.HK	29,900	HK$	83.75	107.00	1	14.6	13.1	9.1	7.8	2.7	2.5	4.1	4.6	22.5	19.1
Apple Inc	AAPL.O	3,799,919	US$	258.83	315.00	1	30.3	27.1	22.9	21.0	35.7	25.0	0.4	0.5	86.6	62.8
AviChina	2357.HK	3,613	HK$	3.55	5.00	1	9.3	7.9	5.5	5.2	0.7	0.6	3.2	3.8	14.7	13.9
Centre Testing Int'l Group	300012.SZ	3,797	Rmb	15.380	24.000	1	21.1	18.5	12.5	10.7	2.9	2.6	1.1	1.3	1.4	1.3
Chervon	2285.HK	1,127	HK$	17.27	17.50	3	10.7	8.8	5.8	4.6	1.0	0.9	2.8	3.4	22.7	20.3
China Communications Construction	601800.SS	9,432	Rmb	7.610	6.900	3	5.3	5.1	4.7	4.3	0.4	0.3	4.0	4.2	121.3	119.0
China East Edu	0667.HK	1,422	HK$	5.02	7.80	1	9.9	8.1	3.8	3.0	1.5	1.4	6.1	7.5	0.0	0.0
China Jushi	600176.SS	18,266	Rmb	31.100	26.100	1	23.5	20.8	15.6	13.8	3.4	3.1	1.9	2.2	35.1	33.1
China Lesso Group Hldgs	2128.HK	1,909	HK$	4.82	6.20	1	8.4	7.1	3.1	3.0	0.5	0.5	4.7	5.1	62.6	56.3
China Railway Group	0390.HK	12,858	HK$	4.08	4.80	1	3.7	3.6	10.3	9.4	0.2	0.2	5.3	5.5	84.0	71.1
China State Construction	3311.HK	5,975	HK$	8.86	12.00	1	4.7	4.5	4.6	4.4	0.5	0.5	8.8	8.9	100.4	95.0
CIMC Enric	3899.HK	2,903	HK$	10.77	12.50	1	13.0	11.3	4.4	3.4	1.4	1.3	4.1	4.7	5.2	4.9
Coherent Corp	COHR.K	61,202	US$	313.42	250.00	1	45.5	28.3	36.2	25.3	13.0	NA	NA	NA	242.3	NA
Constellation Energy Corp	CEG.N	107,484	US$	296.68	348.00	2H	27.6	22.0	13.1	11.6	3.6	3.2	0.6	0.6	81.1	68.4
COSCO SHIPPING Hldgs	1919.HK	29,596	HK$	15.14	15.90	1	11.6	23.6	3.6	5.0	0.8	0.8	4.3	2.1	11.6	7.2
COSCO SHIPPING Ports	1199.HK	2,593	HK$	5.13	5.51	2	6.5	5.9	12.8	11.8	0.4	0.4	6.1	6.7	47.9	44.0
CRRC Corp	1766.HK	18,721	HK$	5.11	4.50	3	9.6	9.0	3.9	3.5	0.7	0.7	5.2	5.5	6.6	6.3
Crystal Int'l	2232.HK	2,262	HK$	6.21	8.20	1	9.2	8.2	4.4	4.0	1.3	1.2	6.7	7.5	7.0	5.3
Dongguan Yiheda Automation	301029.SZ	2,474	Rmb	26.590	31.000	1	24.2	20.6	16.9	14.2	3.4	3.1	1.9	2.3	0.0	0.0
Doosan	000150.KS	14,935	W	1,358,000	1,300,000	1	NA	62.1	13.1	11.6	9.2	7.3	0.1	0.1	65.9	63.7
Elite Material	2383.TW	43,296	NT$	3,810.00	3,000.00	1	43.1	26.5	31.6	19.0	17.0	10.3	0.7	1.4	28.1	19.0
Estun Automation	002747.SZ	2,648	Rmb	20.720	13.800	3	NA	83.0	43.4	35.9	9.2	8.5	0.3	0.5	154.1	142.8
Fenbi	2469.HK	290	HK$	1.03	0.70	3H	7.6	5.9	2.2	0.1	1.3	1.0	NA	NA	3.2	1.8
Foxconn Industrial Internet	601138.SS	168,342	Rmb	57.820	101.000	1	14.9	11.6	11.3	8.7	3.7	2.8	3.7	4.7	44.7	40.9
Gaotu Techedu	GOTU.N	463	US$	1.93	1.59	3	-45.5	58.6	6.9	NA	3.2	3.7	NA	NA	0.0	0.0
Goldwind Science & Technology Co Ltd	2208.HK	8,072	HK$	14.97	18.00	1	14.9	13.0	6.8	6.3	1.2	1.1	2.1	2.4	84.7	80.7
Haitian Int'l Hldgs	1882.HK	4,421	HK$	21.70	27.50	1	8.5	7.6	5.5	4.8	1.2	1.1	4.7	5.2	20.2	18.5
Han's CNC Technology	301200.SZ	13,392	Rmb	188.770	186.000	2	55.7	37.8	42.5	29.9	12.1	9.7	0.6	0.8	9.6	7.6
Han's CNC Technology	3200.HK	13,392	HK$	130.00	160.00	1	33.4	22.6	42.5	29.9	7.3	5.8	0.9	1.4	9.6	7.6
Han's Laser Technology	002008.SZ	11,902	Rmb	78.790	99.000	1	39.1	29.8	36.1	26.8	4.3	3.8	0.5	0.7	37.3	33.5
Hangcha Group	603298.SS	4,908	Rmb	25.540	38.000	1	12.9	11.5	9.6	8.0	2.5	2.2	2.5	2.8	2.3	4.1
Hangzhou Great Star Industrial	002444.SZ	5,401	Rmb	30.820	46.000	1	13.0	11.1	9.2	7.6	1.8	1.7	2.7	3.1	16.0	14.3
Harmonic Drive Systems	6324.T	2,593	¥	4,350.0	6,100.0	1	61.5	36.4	23.6	16.4	4.9	4.5	0.5	0.6	13.3	12.0
Hengli Hydraulic	601100.SS	20,439	Rmb	103.900	135.000	1	39.9	33.0	31.5	25.9	8.5	7.2	0.9	1.1	0.1	0.1
Home Depot	HD.N	341,349	US$	342.71	450.00	1	22.6	20.5	15.8	14.5	-88.6	98.3	2.8	3.0	NA	NA
Hongfa Technology	600885.SS	6,206	Rmb	27.330	28.000	2	22.1	18.7	11.5	9.7	2.9	2.6	1.4	1.6	14.4	13.2
Horizon Constr	9930.HK	367	HK$	0.90	1.50	1	15.8	8.8	5.9	6.3	0.2	0.2	2.3	3.5	218.5	237.3
Huali Industrial Group	300979.SZ	7,362	Rmb	43.000	63.770	1	12.6	10.8	7.2	6.1	2.4	2.2	5.5	6.5	1.4	1.3

订阅请加微信 LCD12321Cad 04-16 Cad 04-16
订阅请加微信 LCD12321Cad 04-16 Cad 04-16
订阅请加微信 LCD12321Cad 04-16 Cad 04-16

Stella Int'l Hldgs	1836.HK	1,610	HK$	14.99	15.00	1	11.3	10.5	5.3	4.9	1.4	1.4	9.8	10.3	0.5	0.5
Suofeiya Home Collection	002572.SZ	1,778	Rmb	12.580	9.350	3	11.4	11.4	6.1	6.1	1.5	1.4	6.1	6.2	45.3	50.3
SUPCON Technology	688777.SS	7,661	Rmb	66.000	38.000	3	75.1	67.6	76.4	66.8	4.8	4.7	0.7	0.7	2.9	2.8
Synopsys	SNPS.O	80,226	US$	418.80	580.00	1	27.3	22.8	18.7	18.3	2.5	2.3	NA	NA	27.4	19.2
TBEA Co	600089.SS	20,920	Rmb	28.220	36.000	1	15.7	13.8	10.1	9.1	1.9	1.7	2.0	2.3	47.1	47.3
Techtronic	0669.HK	26,091	HK$	111.70	150.00	1	18.1	15.1	10.1	8.5	3.4	3.1	2.8	3.5	27.8	25.1
Tencent Hldgs	0700.HK	581,319	HK$	499.00	787.00	1	14.2	12.7	9.9	7.8	3.3	3.1	1.2	1.3	20.6	19.6
Topband	002139.SZ	2,265	Rmb	12.380	8.500	3H	36.8	33.0	16.3	14.9	2.1	2.0	0.3	0.3	24.9	23.7
TSMC	2330.TW	1,710,632	NT$	2,080.00	2,800.00	1	22.2	15.9	13.5	10.0	7.5	5.7	1.3	2.0	15.0	11.8
tuc	6274.TWO	8,664	NT$	946.00	660.00	1	39.3	27.8	27.5	17.7	11.3	8.1	0.8	1.6	28.9	22.2
UBTECH Robotics	9880.HK	7,037	HK$	109.50	190.00	1	NA	NA	NA	70.8	6.9	6.7	NA	NA	29.3	42.0
Victory Giant Tech	300476.SZ	37,822	Rmb	295.440	415.000	1	29.7	14.2	21.9	10.8	6.6	4.6	0.4	0.8	10.6	20.3
VTech Hldgs	0303.HK	1,979	HK$	61.15	76.00	1	12.6	11.5	7.4	6.9	2.9	2.9	7.5	8.4	0.0	0.0
Weixing New Materials	002372.SZ	2,516	Rmb	10.770	11.800	2	20.0	18.1	13.7	12.5	3.3	3.2	3.8	4.1	1.2	1.1
Lead Intelligent	300450.SZ	12,820	Rmb	52.860	64.000	1	38.0	28.3	35.5	25.3	6.0	5.1	0.8	1.1	89.2	76.9
Xiaomi	1810.HK	102,185	HK$	30.90	40.00	1	24.7	16.5	19.5	13.1	2.2	1.9	NA	NA	8.6	6.5
XPeng	9868.HK	16,534	HK$	67.65	100.00	1	NA	18.3	-63.1	35.5	1.9	1.7	NA	NA	40.2	36.5
Yaskawa Electric	6506.T	8,619	¥	5,277.0	5,500.0	2	30.0	24.7	15.8	13.7	4.2	4.0	1.3	1.4	24.7	23.3
Yealink Xiamen Network Technology	300628.SZ	6,559	Rmb	35.290	40.000	2	14.3	12.6	12.6	11.0	4.4	4.1	5.6	6.4	0.3	0.3
Yue Yuen Industrial	0551.HK	3,257	HK$	15.90	21.00	1	8.2	7.7	3.7	3.3	0.7	0.7	8.4	8.7	20.7	29.4
Yutong Bus	600066.SS	11,840	Rmb	36.450	50.000	1	13.1	11.9	9.6	8.6	5.0	4.8	7.6	8.4	0.0	0.0
Zhejiang Dingli Machinery	603338.SS	3,683	Rmb	49.570	32.000	3	12.9	12.6	7.0	6.3	1.9	1.7	2.4	2.5	28.3	26.6
Sanhua	002050.SZ	24,697	Rmb	45.110	44.000	2	45.9	40.6	26.0	23.3	5.5	5.1	0.9	1.0	43.1	42.9
Zhuzhou CRRC Times Electric	3898.HK	6,622	HK$	38.20	42.50	2	9.8	8.9	7.8	6.8	1.0	0.9	3.8	4.2	1.6	1.5
Zoomlion Heavy Industry	1157.HK	9,881	HK$	8.95	10.80	1	11.2	9.5	11.0	9.4	1.1	1.1	4.8	5.7	74.0	75.7

Source: Citi Research, and dataCentral. Financials and ratios are calendar year basis.

订阅研报添加微信 LCD123321Cad 04-16

订阅研报添加微信 LCD123321Cad 04-16

订阅研报添加微信 LCD123321Cad 04-16